



STEP Advanced Certificate in Trusts: Law and Practice (International)

Appendices



These appendices are intended to support and enhance the learning experience provided in the STEP Advanced Certificate in Trusts: Law and Practice (International) course manual, ninth edition 2025.

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Appendix 1:

Deed of Settlement: Discretionary Trust with Alternative Reserved Powers

THIS DEED OF SETTLEMENT is made [date]

BETWEEN

1. [Name] of [address] (the 'Settlor'), and
2. [Name] Trust Company Ltd., a company incorporated under the laws of [jurisdiction] whose registered office is situated at [address] (the 'Trustees')

RECITALS

- (A) The Settlor wishes to make this Settlement in order to provide for [his/her family and friends].
- (B) The Settlor has transferred or delivered to the Trustees or otherwise placed under their control the Trust Fund specified in clause 1.1 hereof to be held on trust upon the terms hereinafter set out.
- (C) The Settlor shall transfer all the issued shares in [Name of Underlying Company] to the Trustees to be accepted by them as an addition to the Trust Fund. Further money, investments or other property may be paid or transferred to the Trustees by way of further additions to be held upon the trusts hereof.
- (D) It is intended that this Settlement shall be known as the [Name] Trust.

OPERATIVE PROVISIONS

NOW THIS DEED WITNESSES

1. Definitions and construction

In this Deed where the context admits, the following definitions apply.

- 1.1 The 'Trust Fund' means:
 - (a) the initial trust fund is the nominal sum of US\$1.00; and
 - (b) the shares of [Name of Underlying Company] that shall be issued to the Trustees as an addition; and
 - (c) all money, investments or other property transferred to the Trustees (or [the Underlying Company]) by the Settlor or any other person as further additions; and all accumulations (if any) of income added to the Trust Fund; and the money, investments and property from time to time representing the above.
- 1.2 The 'Trust Period' means the period ending on last day of the period of [number of years not exceeding the statutory perpetuity period, if any] from the date of this Deed, which period shall be the applicable perpetuity period. [If the Governing Law does not prescribe a statutory maximum period then the Trust Period shall continue until such day (if any) as the Trustees may [with the written consent of the Settlor [Protector]] may, in their discretion, declare by deed.]

- 1.3 The 'Beneficiaries' means:
- (a) the Settlor's children and remoter issue;
 - (b) the spouses, widows and widowers (but not such widows or widowers who have remarried) of the Settlor's children and remoter issue;
 - (c) such other objects or persons as are added under clause 2 of this Deed.
- 1.4 The 'Protector' means [name] or such other persons as shall, for the time being, be the protector of this Trust.
- 1.5 ['Excluded Person' means:
- (a) the Settlor
 - (b) any person who is an Excluded Person under clause 3].
- 1.6 The 'Alternate Trustees' means such persons as may be appointed under clause 11.
- 1.7 The expression 'the Trustees' shall, where the context admits, include the trustees for the time being of this Trust.
- 1.8 The 'Governing law' means the laws of the jurisdiction governing this Trust stipulated in clause 16 hereof.

2. Power to add Beneficiaries

- 2.1 The Settlor [Protector] may, [or the Trustees may (with the written consent of the Protector)] at any time during the Trust Period, add to the Beneficiaries such objects or persons or classes of objects or persons as the Settlor [Protector] [Trustees] shall determine.
- 2.2 Any such addition shall be made by deed:
- (a) naming or describing the objects or persons or classes of objects or persons to be added; and
 - (b) specifying the date or event, not being earlier than the date of execution of the deed but before the end of the Trust Period, on the happening of which the addition shall take effect.
 - (c) [This power shall not be exercised so as to add an Excluded Person to the Beneficiaries.]

3. Power of exclusion

- 3.1 The Settlor [Protector] may [the Trustees may (with the written consent of the Protector)], at any time during the Trust Period, declare by deed that the objects or persons named or specified, whether or not ascertained, in such deed who are, would or might, but for this clause, be or become Beneficiaries, shall, in relation to the whole or any part of the Trust Fund, be Excluded Persons.
- 3.2 The power conferred by sub-clause 3.1 shall not be capable of being exercised so as to derogate from any interest to which any of the Beneficiaries has previously become indefeasibly entitled, whether in possession or in reversion or otherwise.
- 3.3 No discretion or power conferred on the Settlor [Protector] or Trustees or any other person by this Deed or by law shall be exercised, and no provision of this Deed shall operate directly or indirectly, so as to cause or permit any

part of the capital or income of the Trust Fund to become in any way payable to or applicable for the benefit of any Excluded Person.

4. [Trust for sale]

[The Trustees shall hold the Trust Fund upon trust (as to investments or property other than money) in their absolute discretion to sell, call in or convert into money such investments or property but with power to postpone such sale, calling in or conversion and to permit the same to remain as invested.]

5. [Power to receive additional property]

[The Trustees may, at any time during the Trust Period, accept additional money, investments or other property, of whatever nature and wherever situate, transferred to them by the Settlor or any other person. Such additional money, investments or other property shall, subject to any contrary direction, be held upon the trusts and with and subject to the powers and provisions of this Deed.]

6. Power of disposition of capital and income

The Trustees shall hold the capital and income of the Trust Fund upon the following trusts:

6.1 Trust Income

6.1.1 The Trustees may accumulate the whole or any part of the income generated by the Trust Fund during the Trust Period, and that income shall be added to the Trust Fund.

6.1.2 The Trustees may pay or apply the income generated by the Trust Fund, or the remainder not accumulated under the provisions of clause 6.1.1 above, for or for the benefit of such of the Beneficiaries, at such ages or times, in such shares, upon such trusts (which may include discretionary or protective powers or trusts) and in such manner generally as the Trustees [Settlor] may in their [his/her] discretion think fit.

6.1.3 [The exercise of the dispositive powers conferred by sub-clause 6.1.2 shall be exercisable only with the written consent of the Settlor [Protector].

Alternatively

[The exercise of the dispositive powers conferred by sub-clause 6.1.2 shall be exercised by the Trustees in accordance with the directions, if any, given in writing from time to time by the Settlor [Protector] [provided that the prior written consent of the Protector is also obtained]].

6.2 Trust Capital

Power of appointment

6.2.1 The Trustees may pay or apply the whole or any part of the Trust Fund, or may appoint and declare by deed that they hold the whole or any part thereof, on behalf or for the benefit of, all or such one or more of the Beneficiaries in such shares and upon such trusts (including discretionary or protective trusts or powers) and in such manner generally as the Trustees may, in their absolute discretion, think fit.

Power of re-settlement

6.2.2 The Trustees may declare by deed that they hold the whole or any part of the Trust Fund on trust to transfer it to the trustees of another trust, wherever and whenever established, to hold on the terms of that trust, freed and released from the terms of the Trust, provided that any one or more persons who may benefit is a Beneficiary.

Exercise of powers of appointment and re-settlement

6.2.3 [The exercise of the dispositive powers of appointment and re-settlement of capital conferred by sub-clauses 6.2.1 and 6.2.2 shall be exercisable only with the written consent of the Settlor [Protector].

Alternatively

[The exercise of the dispositive powers of appointment and re-settlement of capital of the Trust Fund conferred by sub-clauses 6.2.1 and 6.2.2 shall be exercised by the Trustees in accordance with the directions, if any, given in writing from time to time by the Settlor [Protector] [provided that the prior written consent of the Protector is also obtained]].

6.3 Ultimate default trusts

Subject as above and if and so far as not wholly disposed of for any reason whatever by the above provisions, the capital and income of the Trust Fund shall be held upon trust for [charity] absolutely.

7. Administrative powers

The Trustees shall, in addition to all common law and statutory powers, have the powers [and immunities] set out in the Schedule of this Deed.

8. Protection of the Trustees

8.1 Indemnity

Any liability incurred by or imposed by law on the Trustees by reason of any transaction, act or omission in the administration of the trusts hereof shall be met out of the Trust Fund other than arising out of the fraud, wilful misconduct, or the bad faith of the Trustees.

8.2 Exoneration

The Trustees shall not be liable for any loss suffered by the Trust Fund arising by reason of:

- (1) any mistake or omission made in good faith by such trustee, or by any of the Trustees; or any other matter or thing, except fraud, wilful default or dishonesty of such trustee, and, the negligence or fraud of any agent employed by such trustee, in good faith;
- (2) the Trustees acting in compliance with or as the result of the exercise by the Protector [Settlor] of his [her] power in paragraph [1.5 of the Second Schedule, namely a direction to invest].

9. Trustee [and Protector] charging clause

- 9.1 The Trustees, carrying on trust business as a trust company licensed to undertake trust business, shall be entitled, in addition to reimbursement of its proper expenses, to remuneration for its services in accordance with its published terms and conditions for trust business in force from time to time [or in accordance with such terms and conditions as may from time to time be agreed between such trustee and the Protector].
- 9.2 The Protector [who is an attorney or other person engaged in a profession or business or in a personal capacity], shall be entitled to charge, and be paid out of the Trust Fund, all normal professional or other charges for business done, services rendered or time spent by him [her] personally in the administration of these trusts, including acts which a protector not engaged in any profession or business could have done personally.
- 9.3 Any Alternate Trustee shall be entitled, in addition to reimbursement of proper expenses, to such remuneration for services as may from time to time be agreed between such Alternate Trustee and the Protector.
- 9.4 The Trustees may act and be remunerated as a director or other officer, or as agent or adviser of any company that holds assets for and on behalf of the Trustees or is in any way connected with the Trust Fund and shall not be liable to account for any remuneration, fees or profits received by the Trustee in any such capacity.
- 9.5 The Trustees (or entities associated with the Trustees) may act as banker, broker or other agent and may retain any fees, brokerage or other commission received by them for any transaction carried out for the Trustees for which they are in the normal course of business allowed remuneration of commission.

10. Power of removal and appointment of Trustees

- 10.1 The Protector [Settlor] may by deed [written notice] served upon the Trustees appoint new or additional trustees of this trust.
- 10.2 If the Protector [Settlor] is unable, unwilling or unfit to act, or if there shall be no Protector, the power of appointing new trustees shall be vested in the Trustees.
- 10.3 The Protector [Settlor] shall also have power, exercisable by deed [written notice], to remove the Trustees as trustee of this Trust.

11. Appointment of Alternate Trustees

- 11.1 During the Trust Period, the Protector may, at any time, by deed delivered to the Trustees, appoint an Alternate Trustee.
- 11.2 No person may be appointed to be an Alternate Trustee if he or she is resident in a jurisdiction in which any of the Trustees are, at the date of such appointment, also resident.

12. Automatic retirement of Trustees

- 12.1 On the happening of any of the events specified in clause 13 (the 'Emergency Event') any Trustee resident in the jurisdiction in which the Emergency Event occurs shall automatically cease to be a trustee and is referred to below as the 'Retiring Trustee'.

- 12.2 Upon the Retiring Trustee ceasing to be trustee of this Trust upon the occurrence of an Emergency Event, the Alternate Trustee shall become the new Trustee (the 'New Trustee') in place of the Retiring Trustee.
- 12.3 The Retiring Trustee shall be divested of title to all the assets comprised in the Trust Fund and those assets shall vest automatically in the New Trustee. [The Trustees irrevocably grant power of attorney to the New Trustees to transfer the Trust Fund to themselves as New Trustee on behalf of the Retiring Trustee.]
- 12.4 If, on the happening of the Emergency Event, the governing law of this Trust is that of the jurisdiction where the Emergency Event occurs or such jurisdiction is the forum for the administration of this Trust, then, on the happening of the Emergency Event, the governing law of this Trust and the forum for the administration of this Trust shall, notwithstanding any other provision of this Trust, automatically become the jurisdiction where the Alternate Trustee is resident.

13. Events precipitating the automatic retirement of the Trustee

The events in which the provisions of clause 13 shall take effect are:

- 13.1 an attack upon, or the occupation of, the territory in question by hostile military forces;
- 13.2 the occurrence in that territory of civil war or of violent civil disturbances which cause, or appear likely to cause, a serious and prolonged interference with the ability of the trustee to function as such;
- 13.3 the acquisition by the government, or any other public authority, of that territory of a controlling interest in the trustee; or
- 13.4 the enactment of any law, or the taking of any action by the government, or any other public authority, of that territory, the effect of which is (or would be if the trustee in question had sole control of the assets comprised in the Trust Fund)
 - (a) to expropriate or confiscate any assets comprised in, or to require the making of any substantial payment out of, the Trust Fund, other than a payment required in the ordinary course of taxation (not being of a penal or confiscatory nature) ;
 - (b) to determine or restrict substantially the power of the trustee to transfer assets comprising income or capital of the Trust Fund out of that territory for the purpose of investment or distribution; or
 - (c) to interfere materially in the way in which the Trustees administer the Trust Fund or exercise the power and discretions vested in them under this Trust.

14. Successor Protectors

- 14.1 The Protector shall cease to be the Protector on death (if an individual), or on dissolution (if a corporation), or, in either case, on becoming unable or unfit to act or making a valid appointment under sub-clause 14.2.
- 14.2 The Protector may, by deed, appoint any other person to be protector of this Trust and, if the Trustees have been given written notice of the appointment and the person appointed consents in writing, such person shall immediately become the Protector.

- 14.3 The Protector may, by deed during his lifetime, nominate a person to become the Protector upon the person making the nomination dying or otherwise ceasing to be the Protector. Upon such cessation, if the nomination remains unrevoked, the Trustees have been given written notice of the nomination and the person nominated consents in writing, such person shall immediately become the Protector.
- 14.4 If, notwithstanding the provisions of sub-clause 14.1. to 14.3. there shall at any time be no Protector of this Trust, the [Settlor] Trustees may, by deed, irrevocably appoint any person, not being one of the Trustees, to be the Protector.

15. Protection of the Protector

The Protector shall not be liable for any loss to the Trust Fund arising in consequence of the failure, depreciation or loss of any investment, or any mistake, omission or any other matter or thing, except caused by the wilful default, fraud or bad faith on the part of the Protector.

16. Governing law, forum and place of administration

- 16.1 The governing law of this trust shall be that of [jurisdiction].
- 16.2 The courts of [jurisdiction] shall be the exclusive forum for the adjudication of any issues in dispute and administration of these trusts.
- 16.3 Notwithstanding the provisions of sub-clauses 16.1 and 16.2, the Trustees may at any time, [with the written consent of the Protector], declare in writing that, from the date of such declaration, the governing law of this Trust shall be that of any specified jurisdiction. [No exercise of this power shall be effective unless the law of the jurisdiction specified is one under which this Trust remains irrevocable and all or substantially all of the trusts, powers and provisions contained in this Deed remain enforceable and capable of being exercised and so taking effect.]

17. Miscellaneous Powers of Protector

17.1 Take counsel's opinion

The Protector may obtain the opinion of legal counsel or tax advisers locally or in any other jurisdiction of the world where necessary or appropriate concerning any matter relating to the Trust or the tax or fiscal position of the Trustees, the Beneficiaries, or on any matter relating to this Trust, and the cost thereof shall be met out of the Trust Fund.

17.2 Appoint auditors

The Trustees shall, upon receipt of a direction in writing by the Protector appoint independent auditors to examine and/or audit the trust accounts maintained by the Trustees relating to the affairs of the Trust in such manner as may be determined from time to time by the Protector, and the cost of such audit shall be met out of the capital or income of the Trust Fund.

17.3 Deliver trust accounts and other information

The Trustees shall, upon receipt of an instruction in writing, deliver copies of the Trust accounts and such other information relating to the administration of the

Trust and management of the Trust Fund as the Protector may reasonably require to enable the Protector:

- (a) to undertake regular reviews of the trust administration
- (b) to approve the trust accounts on behalf of the Beneficiaries
- (c) to settle questions of construction or other disputes concerning the administration of the Trust

17.4 Non-disclosure

Subject to an order of any competent court, the Trustees shall not disclose to any person, including one or all of the Beneficiaries, any document or other matter relating to this Trust unless the Protector gives his [her] prior consent in writing.

18. Power to revoke

This Trust is irrevocable.

[This trust is revocable by the Settlor [Protector] by written notice given to the Trustees at any time prior to the expiry of the Trust Period.]

IN WITNESS whereof the Settlor and the Trustees have this day executed this instrument and delivered it as a deed.

Executed and delivered as a deed)
 by the Settlor in the presence)
 of:)
)
 Settlor
 [witness]

Executed for and on behalf of)
)
 Trust Company Ltd., as a deed)
 by [director] and by)
) Director
 [director/secretary] in the)
)
 presence of:)
)
)
 Director/Secretary)
 [witness])
)

THE SCHEDULE

The Trustee's powers and immunities

1. Investment of the Trust Fund

Power to invest

- 1.1 [Subject to the provision of sub-clause 1.4. below] any money to be invested may be invested in or upon any investment of whatever nature [including the purchase or acquisition (either alone or jointly with other persons) in any real or personal property, including investments in any currency in any part of the world, investments in shares, stock, funds, securities, bonds, notes, debentures, time deposits, land, buildings, chattels or other property of whatever nature and wherever situate, and whether involving liabilities or producing income or not, or in making such loans, with or without security], as the Trustees think fit.

Modification of Trustee's duties

- 1.2 The Trustees shall not be under a duty or required to invest the Trust Fund in a prudent manner, nor to invest in low-risk securities, nor to diversify the investments of the Trust Fund and may invest in high-risk, speculative, concentrated or hazardous investments.
- 1.3 [The Trustees shall not be liable for loss arising from their investment of the Trust Fund:
- (a) in a non-prudent, high-risk, speculative manner, or
 - (b) in a single business, company or firm or in one asset or type of asset.
- 1.4 The Trustees shall not be under a duty to invest in assets that produce an income and may invest in non-income producing investments or securities that do not produce an income.
- 1.5 [The exercise of the power of investment conferred by sub-clause 1.1. above shall be exercisable only with the written consent of the Settlor [Protector].

Alternatively,

[The exercise of the power of investment conferred by sub-clause 1.1. above shall be exercised by the Trustees in accordance with the directions, if any, given in writing from time to time by the Settlor [Protector].

2. Power to lend and give guarantees

- 2.1 The Trustees may lend money or assets comprised in the Trust Fund to any Beneficiary, [and/or Settlor] on such terms (whether or not including provision for the payment of interest) as the Trustees think fit.
- 2.2 The Trustees may guarantee the payment of money and the performance of obligations by any Beneficiary [or by any company in which the Trust Fund is invested] and may charge all or any part of the Trust Fund in support of such guarantees.

3. Powers in relation to real property and chattels

3.1 Land

The powers conferred by this sub-clause shall be exercisable where the Trust Fund for the time being includes any real or immovable property (in this clause referred to as the 'land').

3.1.1 The Trustees may lease all or any part of the land for any purpose, and for any term, in consideration of a rent (whether fixed or variable), or premium, and may accept (with or without consideration) the surrender of any lease of all or any part of the land.

3.1.2 The Trustees may in executing any trust or power of sale:

- (a) sell or lease all or any part of the land, whether the division is horizontal or vertical;
- (b) sell, lease or reserve any easement, right or privilege over all or any part of the land;
- (c) sell, lease, or reserve any timber, mines or minerals on, in or under all or any part of the land;
- (d) impose, and make binding for the benefit of all or any part of the land sold or leased, any restrictions as to user affecting any part of the land retained;
- (e) enter into any contract or grant any option for the sale of all or any part of the land.

3.1.3 The Trustees shall not be bound to see, nor be liable or accountable for omitting or neglecting to see, to the repair of any building or other structure on the land, or to the payment of any outgoings, or otherwise as to the maintenance of the land, or any building or other structure on the land, but may maintain and repair the same in such manner and to such extent as they think fit.

3.2 Chattels

The powers conferred by this sub-clause shall be exercisable where the Trust Fund for the time being includes any chattels (in this clause referred to as the 'chattels').

3.2.1 The Trustees may sell, lease, hire, deposit, store or otherwise deal with the chattels upon such terms as they think fit.

3.2.2 The Trustees shall not be bound to see, nor be liable or accountable for omitting or neglecting to see, to the safe custody, maintenance or repair of the chattels, but may see to such safe custody, maintenance and repair in such manner and to such extent as they think fit.

4. Power to trade, operate a business

4.1 The Trustees may trade or operate a business, or take part in any venture in the nature of trade, either alone or jointly with any other person, and whether or not by way of partnership (limited or general).

4.2 The Trustees shall be entitled to be fully indemnified out of the Trust Fund against all personal liability to which they may become in any manner subject in connection with any such trade or venture.

5. Power to insure property

- 5.1 The Trustees may insure any property comprised in the Trust Fund against any loss or damage from any risk for any amount, and may pay the premiums out of the Trust Fund or the income as may be appropriate.
- 5.2 The Trustees shall not be bound to see to such insurance, nor be liable or accountable for omitting or neglecting to see to it, or for its adequacy.

6. Power in relation to companies

6.1 Power to promote companies

The Trustees may (without prejudice to the generality of their powers of investment) promote or incorporate any company in any part of the world:

- (a) to establish and carrying on by such company a business of any kind which the Trustees are for the time being authorised to carry on themselves and the acquisition of any of the assets comprised in the Trust Fund which may be required for the purposes of such business;
- (b) to acquire all or any of the assets comprised in the Trust Fund to be held as investments of the company.

6.2 Power to Vote

The Trustees may exercise the voting rights attached to shares of companies held in the Trust Fund, including to waive the appointment of auditors, and presentation of audited accounts to shareholders.

6.3 Power to enter into any compromise/arrangement

The Trustees may enter into any compromise or arrangement or winding up in relation to any company in which the Trust Fund is invested.

6.4 No requirement to interfere in the management of companies

The Trustees are under no duty to enquire into, to supervise, be involved or interfere in the management or conduct of the business of any company in which the Trust Fund is invested, holds shares or is otherwise involved and may leave the conduct of the business and affairs of the company wholly to the board [unless they have knowledge of circumstances that call for enquiry.]

7. Power to delegate and appoint agents

7.1 Power to delegate generally

The Trustees [and the Protector] may, instead of acting personally, employ and pay at the expense of the Trust Fund any agents in any part of the world, [whether accountants, attorneys, brokers, bankers, trust companies or other agents] to transact any business in connection with this trust, including the receipt and payment of money, the execution of documents and the holding of any securities, property or documents, without being responsible for the fraud, dishonesty or negligence of each agent provided employed in good faith.

7.2 Power to employ nominees

The Trustees may invest or hold, or allow to remain in the name of any other person as nominee of the Trustees, any assets comprised in the Trust Fund, on such terms and conditions as the Trustees think fit.

7.3 Power to appoint investment advisers and delegate management of investments.

7.3.1 The Trustees may engage the services of any entity, person or partnership (the 'Investment Manager') to advise upon or to manage the investments comprised in the whole or such part of the Trust Fund within the limits and for the period stipulated by the Trustees. The Trustees may settle the terms and conditions for the engagement of, and any delegation to, the Investment Manager including, if they think fit, terms and conditions as to remuneration and reimbursement of the Investment Manager's expenses at the expense of the Trust Fund.

7.3.2 The Trustees shall incur no liability for following the advice of the Investment Manager, nor shall the Trustee be liable for loss arising as a result of the delegation to the Investment Manager of the discretion to manage the investment of the Trust Fund.

8. Powers to sue and/or compromise claims

- 8.1 The Trustees may bring or defend any lawsuits, actions or other legal proceedings affecting the Trustees or the Trust Fund.
- 8.2 The Trustees may compromise any matters of difference, compound any debt or claim and/or adjust any disputes in relation to debts or claims made by or against them as the Trustees think fit, in each case upon the evidence that the Trustees shall, in good faith, deem proper without being responsible for any loss occasioned thereby.

9. Power to appropriate or distribute *in specie*

The Trustees may make any distribution of the Trust Fund pursuant to the Trusts of this Deed in cash or in kind, or partly in cash and in kind, and may for this purpose, appropriate and/or apportion the Trust Fund in any manner that the Trustees think fit. For the purposes of appropriation the Trustees may place such value on any property as they think just and reasonable.

10. Power to vary administrative provisions

When, in the management of the Trust Fund, any sale, lease, mortgage, release or other disposition, or any purchase, investment, acquisition, expenditure or other transaction is, in the opinion of the Trustees, expedient, but the same cannot be effected by reason of the absence of any power for that purpose conferred on the Trustees of this Deed by law, the Trustees may [with the written consent of the Protector] by deed confer on themselves, either generally or in any particular instance, the necessary powers for the purpose, and on the execution of such deed the Trustees shall have such power as if it had been expressly conferred on them by this Deed.

11. Power to pay taxes

In the event of any succession, estate duty, inheritance, gift, wealth, income, capital, or other tax, stamp or other duties or taxes whatsoever becoming payable in any part of the world in respect of the Trust Fund or any part thereof, the Trustees may [with the written consent of the Protector] pay all such duties or taxes out of the Trust Fund, notwithstanding that the same shall not be enforceable or recoverable from the Trustees or that the payment is not for the benefit or advantage of any Beneficiary.

Appendix 2:

Sample Terms and Conditions relating to Remuneration of Trust Company

Definitions

In this document:

- 'Trustee' means the [Name] Trust Company
- 'Trust' means the trust created by the settlor and administered by the Trustee
- 'Trust Fund' means the assets held in trust by the Trustee of the Trust.

Remuneration

Pursuant to the remuneration clause of the Trust, the Trustee shall charge to the Trust and deduct from the Trust Fund the Acceptance Fee, Annual Fee, Additional Fee and Exit Fee (together, the 'Fees'), and reimburse its Expenses incurred in administering the Trust in accordance with these terms and conditions set out below.

Acceptance Fee

1. The Trustee shall charge a fixed fee of USD [amount] upon being appointed as trustee (the 'Acceptance Fee'), which includes all professional services rendered and work carried out in drafting the trust instrument, submitting for approval, attendances to revise and settling revisions, drafting and settling constitutive documents and incorporating the underlying company to hold the trust assets, complying with anti-money laundering, FATCA and CRS requirements, attending to the execution of the trust instrument

The Annual Fee

2. The Trustee shall charge an annual fee of USD [amount] [(x) per cent of the value of the Trust Fund as shown in the annual trust and underlying company accounts at the financial year end] (the 'Annual Fee') for each year or part thereof that the Trustee shall serve as Trustee of the Trust, payable annually in advance.

Additional Fee carve-out

3. The Trustee shall charge such additional fees (the 'Additional Fees') on a time-spent basis at hourly rates specified in the Schedule hereto for all professional services rendered and work carried out in connection with the administration of the Trust Fund and other matters that require time and attention on the part of the Trustee. Such Additional Fees shall be billed quarterly by the Trustee [at a frequency determined by the Trustee] and shall be paid upon production out of the Trust Fund. Non-exhaustive examples of these matters include:
 - 3.1 dealing with and managing the investment of the Trust Fund, investor relations, and investment reviews;

- 3.2 considering and making distributions, including the drafting and settling of deeds of appointment and other deeds and the execution thereof;
- 3.3 disclosures to comply with FATCA and CRS; and
- 3.4 litigation and regulatory investigations, including instructing counsel, attendances, meetings, consideration and implementation of advice, attending dispositions and trial as witness, etc.

Exit Fee

- 4. The Trustee may charge an exit fee (the 'Exit Fee') of [x] per cent of the value of the Trust Fund under the administration of the Trustee upon the Trustee's retirement or being removed from office, such value being the amount shown in the trust and company accounts prepared up to the date of retirement or removal as the case may be.

Expenses

- 5. The Trustee shall reimburse itself from the Trust Fund of the Trust all reasonable expenses incurred by it and/or the directors of the underlying company holding assets for the Trust ('Expenses'), in the course of carrying out their duties under the Trust, including but not limited to:
 - 5.1 all reasonable travelling, hotel and other expenses incurred by officers of the Trustee and underlying company for attending meetings with the settlor, beneficiaries and/or their advisers, or trustee or board meetings or equivalent; and
 - 5.2 telephone, fax, printing, copying charges, which shall be charged at 3% of the value of invoices for the Annual Fee and/or time costs; and
 - 5.3 courier charges.

Fees for directorships, acting as bankers and broker, etc

- 6. The Trustees, or other subsidiaries in its financial services group, may act
 - 6.1 as a director or other officer, or as agent or adviser of any company that holds assets on behalf of the Trust or is in any way connected with the Trust Fund and shall not be liable to account for any remuneration, fees or profits received by the Trustee in any such capacity.
 - 6.2 as banker, broker or other agent and may retain any brokerage or other commission received by him, her or it for any transaction carried out for the Trustees for which he/she/it is in the normal course of business allowed commission.

Power to vary

- 7. The Trustee may vary the Fees and Expenses and the provisions set out in these terms and conditions by notice to the Settlor (when alive) and the Principal Beneficiaries of the Trust [and the Protector].

Appendix 3:

Deed of Disclaimer

DATE

BY [Name] Trust Company (the 'Proposed Trustee')

RECITALS

- (A) By clause [x] of the Will of [Name] (the 'Testator') dated [date] (the 'Will') the Testator appointed the Proposed Trustee as trustee of the trusts set out therein (the 'Trust').
- (B) The Testator died on [date] without having revoked his [her] Will.
- (C) The Proposed Trustee (i) having never consented to act as trustee of the Trust, and (b) without performing any act or doing anything that could constitute acceptance of such appointment, wishes to disclaim the appointment as trustee of the Trust.

OPERATIVE PROVISIONS

The Proposed Trustee hereby disclaims the appointment as trustee of the Trust set out in the Will of the Testator and all the property held in the Trust.

IN WITNESS whereof the Proposed Trustee has executed this Deed of Disclaimer as a deed on the date at the beginning of it.

Executed as a deed and delivered)
by [name], director and [name],) _____
director/secretary for and on behalf of)
the Proposed Trustee in the presence of,) _____

WITNESS

Appendix 4:

Memorandum: Specimen Summary of Trust

To The Proposed Settlor [and his [her] Attorney-at-Law]

From [Name] Trust Company Ltd.

Date [date]

Re Your Proposed Discretionary Trust

Following our recent discussions, we attach a first draft of a discretionary trust (the 'Trust') for your consideration and approval and draw your attention to the following main points. Please let us know if you have any comments or questions. We would be most grateful if you would sign a copy of this memorandum as confirmation of its receipt and that you understand its contents and are happy to proceed.

1. Settlor and Trustees

You will see that you are described as the Settlor and [Name] Trust Company Ltd. are described as the Trustees.

2. The Trust Fund

In accordance with clause 1.1(a), the Trust Fund will initially be an initial nominal sum of US\$1.00. The main assets that will comprise the Trust Fund can be transferred by way of additions in accordance with clause 1.1(b). It is essential that the legal title (ownership) of these assets be transferred by employing the correct method of transfer applicable to such assets, such as deed of conveyance, wire transfer, stock transfer form, irrevocable instruction, assignment, as the case may be.

3. Beneficiaries

You will see from clause 1.3 that the class of Beneficiaries of the Trust are: (a) your children and remoter issue and (b) the spouses, widows and widowers (but not such widows or widowers who have remarried) of your children and remoter issue.

Pursuant to the powers in clause 2.1, you may add additional persons to the class of Beneficiaries. There is also a power conferred by clause 3.1 to exclude persons from the class.

4. Discretionary Trusts

4.1 Clause 6.1 confers upon the Trustees a discretionary power to pay or apply income generated by the Trust Fund to or for the benefit of any one or more members of the class of Beneficiaries if and when they think fit.

4.2 Clause 6.2.1 confers upon the Trustees a discretionary power to pay or apply (appoint) all or part of the capital of the Trust Fund to any one or more members of the class of the Beneficiaries. The Trustees may make outright distributions to the selected Beneficiaries or alternatively may give them a more limited interest such as a right under new terms.

4.3 Clause 6.2.2 confers upon the Trustees a power to pay all or part of the capital of the Trust Fund to the trustees of another trust for the benefit of a selected Beneficiary if this is desirable.

4.4 In the unlikely event that any property remains in the Trust Fund at the end of the Trust Period (as defined in clause 1.2), it is to be paid to the [charity].

5. Administrative Provisions

Clause 7 includes by reference the administrative provisions contained in the Schedule. The Schedule contains a broad range of fairly standard administrative powers that enable the Trustees to invest and manage the Trust Fund in the best interests of the Beneficiaries.

6. Exoneration

Clause 8.2 contains a general exoneration clause that modifies the Trustees' duty of care. It exonerates the Trustees from liability for negligent mistakes that may cause loss. Further, more specific, exoneration clauses are found in clauses 3.1.3, 3.2.2, 7.1, 7.3.2 and 8.2 of the Schedule.

7. Trustees' Remuneration

Clause 9 includes a provision that authorises the Trustees to charge for their work. We have attached a document containing our standard published terms and conditions upon which we accept the appointment as Trustee.

8. Removal and replacement of trustees

Clause 10 gives you the power exercisable in your lifetime to remove and replace the trustees. [After your death the power is exercisable by the Protector.]

9. Flee clause

Clauses 11 through 13 contain flight provisions in case the place of administration of the Trust becomes unsuitable.

10. The Trust is Irrevocable

Clause 18 confirms that the Trust is irrevocable, which means that you cannot change your mind at a later date and recover the Trust Fund for your own benefit.

11. The exercise of the Trustees' power to distribute and invest the Trust Fund

The Trustees are given very flexible powers to distribute and invest the Trust Fund pending its distribution. We will consider at periodic and regular intervals the manner in which we should exercise these powers. A statement of wishes addressed to us setting out your current suggestions as to the exercise of these powers will give us useful guidance. Your wishes are not binding but may be taken into account by the Trustees when making decisions. You can change your wishes at any time by giving us an amended or further statement.

12. Anti-money laundering (AML) and other regulations

12.1 AML

You will have received a separate note concerning our anti-money laundering requirements.

12.2 FATCA and CRS

You will have received a separate note concerning our disclosure requirements to comply with FATCA and CRS.

12.3 Tax

The creation of this Trust and its administration over the Trust Period may have tax consequences for you as Settlor and members of the class of the Beneficiaries. You are advised to obtain independent tax advice from qualified professionals located in the jurisdiction(s) where you and members of the class of Beneficiaries are deemed to reside for tax purposes.

13. In summary

It is essential that you understand the concept of a trust and the terms upon which the Trust Fund will be held and administered by the Trustee for the Trust Period. If, therefore, you have any questions or revisions, please contact the undersigned.

Signed: (Relationship Manager)

Signed: _____ (Trust Officer)

Appendix 5:

Deed of Removal and Appointment of Trustee ('DORA')

DATE

PARTIES

1. [New Trustee, name and address] (the 'New Trustee'); and
2. [Outgoing Trustee, name and address] (the 'Outgoing Trustee'); and
3. [Name and address] (the 'Settlor').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement made by the Settlor and the Outgoing Trustee on [date] known as the [name of the trust] ('the Trust').
- (B) Pursuant to clause [x] of the Trust, the Settlor has the power exercisable by deed of removing a trustee from office and the power of appointing a new trustee in place of any trustee that has been so removed. [Pursuant to clause [x] of the Trust, the Outgoing Trustee may resign by giving 14 days' notice in writing to the Settlor [Protector], or such shorter period as may be agreed in writing between the Retiring Trustee and the Settlor [Protector].
- (C) By clause [] of the Trust the power of appointing new trustees is vested in the Settlor.
- (D) In exercise of the powers conferred upon him [her] by clause [x] of the Trust, the Settlor wishes to remove the Outgoing Trustee and to appoint the New Trustee to act as a Trustee of the Trust in place of the Outgoing Trustee. [The Retiring Trustee is the present sole trustee of the Trust and wishes to be discharged from the trusts of the Trust.]
- (E) It is intended that as soon as practicable the assets subject to the trusts of the Trust shall be transferred to, or entity under the control of, the New Trustee.

NOW THIS DEED WITNESSES as follows:

1. Removal of Outgoing Trustee

In exercise of the power conferred by clause [x] of the Trust, the Settlor hereby removes the Outgoing Trustee as trustee of the Trust with immediate effect and the Outgoing Trustee is henceforth discharged from the trusts of the Trust. [The Retiring Trustee hereby retires as Trustee and is hereby discharged from the trusts of the Trust.]

2. Appointment of New Trustee

In exercise of the powers conferred by clause [x] of the Trust, the Settlor appoints the New Trustee as trustee of the Trust and the New Trustee hereby accepts the appointment.

3. Vesting of the Trust Fund

- 3.1 The parties declare that the property comprised in the Trust Fund shall, upon the execution hereof, vest in the New Trustee.
- 3.2 The Outgoing Trustee hereby promises to execute all documents and take all such other action as is necessary for the vesting of the Trust Fund in the New Trustee, following which the New Trustee shall hold the Trust Fund upon the trusts of the Trust

4. Release of Outgoing Trustee

The New Trustee, so far as it is competent to do so, hereby releases the Outgoing Trustee from all claims, demands, proceedings and accounts of any kind held by any person, whether in existence or not, actually or prospectively interested under the Trust to the Trust Fund or its income for any act or thing done or omitted to be done in the execution of the Trust except

- (i) those arising from the fraud, dishonesty or the wilful commission of an act known by the trustee to be a breach of trust, and
- (ii) to recover from the Outgoing Trustee the property that comprises the Trust Fund pursuant to clause 3.2 hereof.

5. Indemnity of Outgoing Trustee

- 5.1 The New Trustee, for itself and successors, hereby promises the Outgoing Trustee that the New Trustee will at all times hereafter fully indemnify the Outgoing Trustee against the Liabilities (defined below) PROVIDED THAT
 - (i) there shall be excluded from such indemnity Liabilities that the Outgoing Trustee would not have been entitled to reimbursement out of the Trust Fund if the Outgoing Trustee had remained as trustee of the Trust on its present terms
 - (ii) the indemnity shall not apply in respect of Liabilities of which the Outgoing Trustee first notifies the New Trustee after the sixth anniversary of the date of this deed;
 - (iii) subject to clause 5.2, the extent of the liability of the New Trustee under this indemnity shall be limited to the value of the assets of the Trust Fund in the possession, or under the control, of the New Trustee from time to time
- 5.2 If any part of the Trust Fund is distributed to a Beneficiary, the liability of the New Trustee under the indemnity hereby given shall extend to the value of such distribution unless such recipient Beneficiary agrees to indemnify the Outgoing Trustee by way of a direct promise to the Outgoing Trustee on terms substantially similar to those contained in clause 5.1 hereof or on such terms as may be approved by the Outgoing Trustee, such approval not to be unreasonably withheld.
- 5.3 The New Trustee promises that it will not transfer the Trust Fund to any one or more new trustees of the Trust (a 'Successor Trustee') unless such Successor Trustee shall release and indemnify the Outgoing Trustee in terms that are substantially similar to those contained in clauses 4 and 5 of this deed.

6. Definitions

- 6.1 In this deed all terms and expressions shall, where the context permits, have the same defined meanings given to them in the Trust.
- 6.2 'Liabilities' means all actions, proceedings, accounts, claims and demands (and all costs incurred in connection therewith) which may be brought or made by any person in connection with the trusts of the Trust or the Trust Fund from time to time, whether the same shall be enforceable in law or not, including claims and demands made for taxes, duties or fiscal liabilities by a revenue authority of any government in any part of the world in respect of the capital or income of the Trust Fund or in respect of any property transferred by the trustee to any person interested under the Trust.
- 6.3 This deed shall be governed by and construed in accordance with the laws of [jurisdiction of the governing law of the trust].

IN WITNESS WHEREOF the parties have executed this document as their deed and have delivered it on the day and year first above written.

Appendix 6:

Deed of Addition to Class of Beneficiaries

DATE:

BY: [Name of Settlor] (the 'Settlor')

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement dated [date] made between the Settlor and the [Name] Trust Company Ltd (the 'Trustee') and therein named as [Name] Trust (hereafter referred to as 'the Trust'). Where the context permits, defined terms and expressions in the Trust shall have the same meaning in this Deed.
- (B) The Trustee is the present trustee of the Trust.
- (C) Clause 2 of the Trust gives the Settlor the power, exercisable by deed, at any time during the Trust Period to add persons to the class of Beneficiaries.
- (D) The Settlor wishes to add the persons named in the Schedule to the class of Beneficiaries.

OPERATIVE PROVISIONS

In exercise of the powers conferred upon him [her] by clause 2 of the Trust, the Settlor hereby **DECLARES THAT**, from the date of this Deed, and in respect of the whole of the Trust Fund and its income, the persons named in the Schedule shall be added to the class of Beneficiaries and shall henceforth be Beneficiaries of this Trust.

IN WITNESS WHEREOF the Settlor has executed this Deed as a deed on the date stated above.

SCHEDULE

The persons added to the class of Beneficiaries of the Trust are: [Names]

Executed as a deed by the Settlor _____

in the presence of,

Witness signature:

Name:

Address:

Appendix 7:

Deed/Memorandum of Addition to Trust Fund

THIS DEED

DATED

RECITALS

- (A) This deed is made by [Name of Trust Company] (the **'Trustee'**) as trustee of the [XYZ] Trust ('the **Trust**')
(B) The Trustee is the present trustee of the Trust.

WITNESSETH

OPERATIVE PROVISIONS

1. On [date] the Trustee accepted from [the Settlor] the property set out in the Schedule below as an addition to the Trust Fund.
2. The Trustee shall hold the said property upon the trusts of the Trust.

IN WITNESS WHEREOF the Trustee has executed this document as a deed on the above date.

Executed as a deed, etc

SCHEDULE

[Description of property]

Alternative written resolution of the Trustee to accept property into trust, adapted from the above:

WRITTEN RESOLUTION OF THE DIRECTORS of the [Name] Trust Company ('Trustee')

IT IS NOTED THAT:

- (A) The Trustee passes this resolution in its capacity as trustee of the [Named] Trust (the 'Trust').
(B) The Trustee is the present trustee of the Trust.

IT IS RESOLVED THAT:

1. On [date] the Trustee accepted from [the Settlor] the property set out in the Schedule below as an addition to the Trust Fund.
2. The Trustee shall hold the said property upon the trusts of the Trust.

DATED

SIGNED

Appendix 8:

Trustee’s Resolution: to Distribute Income

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY (the ‘Trustee’)

IT IS NOTED THAT the Trustee is the present trustee of the [Name] Trust (‘the Trust’) and passes this resolution solely in its capacity as trustee of the Trust.

IT IS RESOLVED THAT:

1. In exercise of the powers contained in clause [x] of the Trust, the Trustees shall pay to the person(s) listed in the Schedule, being Beneficiaries of the Trust, the amounts of income indicated against their respective names.
2. [The appropriate officers of the Trustee be and are hereby authorised and directed to carry out the preceding resolution by procuring the company that underlies, and holds the Trust Fund for the Trustee upon the terms of, the Trust, to transfer the said sum(s) from its account at [Name] Bank to the account of the person(s) indicated against their names in the Schedule.]

SCHEDULE

Name of beneficiary	Amount/proportion of income	Account details
---------------------	-----------------------------	-----------------

DATE

SIGNED

Appendix 9:

Deed of Appointment of an Absolute Interest

DATE:

PARTIES:

- (1) [Name and address] ('the **Beneficiary**'); and
- (2) [Name and address of trust company] ('the **Trustee**').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust.
- (C) By clause [x] of the Trust, the Trustee is conferred with a discretionary power of appointment of the income and capital of the Trust Fund in the following terms: [reproduce the clause from the trust instrument]
- (D) The Beneficiary is a member of the class of Beneficiaries of the Trust.
- (E) The Trustee wishes to exercise the power of appointment conferred by clause [x] of the Trust by making an absolute appointment to the Beneficiary of the funds specified in the Schedule (the '**Appointed Fund**') in the manner hereafter set out.
- (F) [The Trustee shall hold the Appointed Fund for and on behalf of the Beneficiary and the Beneficiary has agreed to release and indemnify the Trustee in the manner hereafter set out.]¹
- (G) In this Deed all definitions, terms and expressions shall, where the context so permits and unless otherwise stated herein, have the meanings respectively ascribed to them by the Trust.

OPERATIVE PROVISIONS

NOW THIS DEED WITNESSES

1. Appointment

The Trustee, in exercise of the power of appointment reserved by clause [x] of the Trust, hereby irrevocably appoints and declares that the Appointed Fund shall henceforth be held by the Trustee for the Beneficiary absolutely, freed and discharged from the terms of the Trust.

1. The Beneficiary is not required to give an express release and indemnity in consideration for the receipt of a distribution. A form of indemnity in favour of the Trustee is, in any event, implied by law, by way of the Trustee's lien, referred to in clause 3 of the deed of appointment. Some trust companies include an express release and indemnity as a matter of course, in respect of which see clause 4 of the deed of appointment.

2. Payment of tax and expenses

Any tax, costs and expenses and other liabilities occasioned by the appointment shall be borne by the Beneficiary.

3. Trustee's lien

Nothing in this Deed shall prejudice or impair in any way any lien or charge to which the Trustee is entitled in respect of any liabilities for which it may be or become accountable.

4. Release and Indemnity of the Trustee²

4.1 Release

[The Beneficiary, so far as he [she] is competent to do so, releases the Trustee entirely in respect of the assets in the Appointed Fund and the income thereof and from all claims, demands, actions, proceedings and accounts of any kind on the part of any person actually or prospectively interested under the Trust in the Trust Fund or the income of the Trust Fund or the trusts of the Trust or an act or thing done or omitted in execution or purported execution of such trusts other than and except only actions arising from any fraud, wilful misconduct or dishonesty on the part of the Trustee.]

4.2 Indemnity

[The Beneficiary promises the Trustee to keep it fully and effectually indemnified entirely from and against all existing, future or contingent liabilities, claims, demands, actions, proceedings and accounts of any kind (and any costs and expenses incurred in connection therewith) which may be brought or threatened to be brought by any person against the Trustee in connection with the Trust or any instruments or deeds supplemental thereto including this Deed or in any way relating to the Trust Fund or any act or thing done by the Trustee arising directly or indirectly or omitted in the execution of the trusts of the Trust and such indemnity shall extend to any claims or demands for taxes, duties or other fiscal liabilities payable in any part of the world in respect of the Trust Fund whether or not such claims or demands are legally enforceable against the Trustee in its jurisdiction of residence PROVIDED ALWAYS THAT:

- (1) such indemnity shall not operate to indemnify the Trustee for liabilities it would not have been entitled to an indemnity for under the terms of the Trust;
- (2) the liability of the Beneficiary under this indemnity shall be limited to the value of the Appointed Fund.]

EXECUTION

IN WITNESS whereof the parties have executed and delivered this Deed of Appointment as a deed on the date stated at the beginning of it.

Execution

SCHEDULE

The Appointed Fund

2. See the footnote above.

Appendix 10:

Deed of Appointment upon New Trusts

DATE:

BY: [Name and address of trust company] ('the **Trustee**').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust.
- (C) By clause [x] of the Trust, the Trustee is conferred with a discretionary power of appointment of the income and capital of the Trust Fund in the following terms:
[reproduce the clause from the trust instrument]
- (D) [Name of beneficiary] (the 'Life Tenant' and the children of the Life Tenant are members of the class of Beneficiaries of the Trust.
- (E) The Trustee wishes to exercise the power of appointment conferred by clause [x] of the Trust in respect of the funds specified in the Schedule (the '**Appointed Fund**') in the manner hereafter set out.
- (F) In this Deed all definitions, terms and expressions shall, where the context so permits and unless otherwise stated herein, have the meanings respectively ascribed to them by the Trust.

OPERATIVE PROVISIONS

NOW THIS DEED WITNESSES

1. Appointment

The Trustee, in exercise of the power of appointment conferred by clause [x] of the Trust, hereby irrevocably appoints and declares that the Appointed Fund shall henceforth be held by the Trustee upon the following trusts:

- 1.1 The income of the Appointed Fund shall be paid to the Life Tenant during her [his] lifetime;
- 1.2 [The Trustees may, at any time during the Trust Period, pay or apply the whole or any part of the Appointed Fund to her [him] for her [his] advancement or benefit in such manner as the Trustees may, in their discretion, think fit. In exercising the powers conferred by this sub-clause, the Trustees shall have regard only to the interests of the Life Tenant and to disregard all other interests or potential interests in the Appointed Fund.]

- 1.3 Upon the death of the Life Tenant, the capital and income of the Appointed Fund shall be held upon trust for the children of the Life Tenant as attain the age of 21 years before the end of the Trust Period, and if more than one in equal shares, absolutely.

2. Application of Trust provisions

The trusts, powers and provisions contained in the Trust shall continue to apply to the Appointed Fund so far as consistent with the provisions of this deed.

3. Payment of tax and expenses

Any tax, costs and expenses and other liabilities occasioned by the appointment shall be borne by the Appointed Fund.

4. Terms of the Trust to stand

Subject to the terms of this deed, the Trust shall stand.³

EXECUTION

IN WITNESS whereof the Trustee has executed and delivered this Deed of Appointment as a deed on the date stated at the beginning of it.

Execution provision

SCHEDULE

The Appointed Fund

3. The fact that the terms of the original Trust continue to apply to the Trust Fund minus the Appointed Fund is implied. So, this clause is arguably superfluous.

Appendix 11A:

Trustees' Resolutions to Exercise a Power of Appointment

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY (the 'Trustee')

IT IS NOTED THAT

- (A) This Resolution is supplemental to a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust and passes this Resolution solely in its capacity as Trustee of such Trust.
- (C) By clause [x] of the Trust, the Trustee is conferred with a discretionary power of appointment of the income and capital of the Trust Fund in the following terms: [reproduce the clause from the trust instrument]
- (D) [Name of beneficiary] ('the **Beneficiary**') is a member of the class of Beneficiaries of the Trust.
- (E) The Trustee wishes to exercise the power of appointment conferred by clause [x] of the Trust by making an absolute appointment to the Beneficiary of the funds specified in the Schedule (the '**Appointed Fund**') in the manner hereafter set out.
- (F) The Trustee having considered carefully all relevant circumstances relating to the exercise of its discretionary powers conferred by the Trust.⁴
- (G) [The Trustee shall hold the Appointed Fund for and on behalf of the Beneficiary and the Beneficiary has agreed to release and indemnify the Trustee in the manner hereafter set out.]
- (H) In this Resolution all definitions, terms and expressions shall, where the context so permits and unless otherwise stated herein, have the meanings respectively ascribed to them by the Trust.

THE TRUSTEE HEREBY RESOLVES as follows

1. Appointment

In exercise of the power of appointment conferred by clause [x] of the Trust, the Trustee hereby irrevocably appoints and declares that the Appointed Fund shall henceforth be held by the Trustee for the Beneficiary absolutely, freed and discharged from the terms of the Trust.

4. Trustees do not have to give reasons for taking a particular decision; *Re Londonderry's Settlement* [1965] Ch 916. But it is considered good practice to actually record that all relevant considerations have been taken into account when reaching a decision.

2. Payment of tax and expenses

Any tax, costs and expenses and other liabilities occasioned by the appointment shall be borne by the Beneficiary.

3. Trustee's lien

Nothing in this Resolution shall prejudice or impair in any way any lien or charge to which the Trustee is entitled in respect of any liabilities for which it may be or become accountable.

SCHEDULE

The Appointed Fund

SIGNED:

DATE:

Appendix 11B:

Trustees' Resolutions to Exercise a Power of Appointment

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY (the 'Trustee')

IT IS NOTED THAT

- (A) This Resolution is supplemental to a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust and has considered the motion to pass this resolution solely in its capacity as Trustee of such Trust.
- (C) By clause [x] of the Trust, the Trustee is conferred with a discretionary power of appointment of the income and capital of the Trust Fund in the following terms: [reproduce the clause from the trust instrument]
- (D) [Name of beneficiary] ('the **Beneficiary**') is a member of the class of Beneficiaries of the Trust.
- (E) The Trustee wishes to exercise the power of appointment conferred by clause [x] of the Trust by making an absolute appointment to the Beneficiary of the funds specified in the Schedule (the '**Appointed Fund**') in the manner hereafter set out.
- (F) The Trustee having considered carefully all relevant circumstances relating to the exercise of its discretionary powers conferred by the Trust.

THE TRUSTEE HEREBY RESOLVES as follows:

- 1. THAT the draft Deed of Appointment attached hereto ('the Deed') be and is hereby approved.
- 2. THAT the Trustee shall exercise the discretionary power of appointment conferred by clause [x] of the Trust, by irrevocably appointing and declaring that the Appointed Fund (as defined in the Deed) shall henceforth be held by the Trustee for the Beneficiary named in such Deed absolutely, freed and discharged from the terms of the Trust.
- 3. THAT any two directors [the authorised representative] of the Trustee be and is hereby authorised to execute the Deed on behalf of the Trustee as a deed.
- 4. [That the authorised representative of the Trustee be and is hereby authorised to procure the underlying company that holds the Trust Fund for and on behalf of the Trust to transfer funds to or as directed by the Beneficiary to comply with the intent of the Deed.]

SIGNED

DATE

Appendix 12:

Deed of Resettlement

DATE:

BY: [Name and address of trust company] ('the **Trustee**').⁵

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust.
- (C) According to clause [x] of the Trust, the class of Beneficiaries comprise of: [reproduce the clause].
- (D) By clause [x] of the Trust, the Trustee is conferred with a discretionary power of re-settlement of all or part of the capital of the Trust Fund in the following terms (the '**Power of Re-Settlement**'): [reproduce the clause from the trust instrument].
- (E) [Name of beneficiary] ('the **Principal Beneficiary**') is a member of the class of Beneficiaries of the Trust and is also beneficially entitled [a member of the class of beneficiaries] under a trust made on the [date] between [Settlor of the Transferee Trust] and [Trustee of the Transferee Trust] and known as the '1966 Trust' (the '**Transferee Trust**').
- (F) The Trustee wishes to exercise the Power of Re-Settlement in respect of the funds specified in the Schedule (the '**Re-Settled Fund**') in the manner hereafter set out.
- (G) In this Deed all definitions, terms and expressions shall, where the context so permits and unless otherwise stated herein, have the meanings respectively ascribed to them by the Trust.

OPERATIVE PROVISIONS

NOW THIS DEED WITNESSES

1. Re-Settlement

The Trustee, in exercise of the Power of Re-Settlement, hereby irrevocably declares that it holds the Re-Settled Fund on trust to transfer it to the trustees of the Transferee Trust, freed and released from the terms of the Trust.

5. The Deed is drafted as a one-party declaration by the trustee alone in accordance with the terms of a conventional discretionary trust, similar to Example 8, in section 7 of the study manual. If the terms of the trust state that the exercise of the power requires the settlor's, or protector's consent, the settlor, or protector should be joined as a party. If, in consideration for making the re-settlement, the Trustee requires an express release from liability similar to clause 4.1 of the Deed of Appointment in Appendix 9, the Beneficiaries of the Trust should be joined as parties. If the Trustee requires an express indemnity similar to clause 4.2 of the Deed of Appointment in Appendix 9, the trustee of the Transferee Trust should be joined as a party.

2. Addition to the Transferee Trust

The Re-Settled Fund shall be held by the trustees of the Transferee Trust upon the trusts and subject to the powers and provisions contained in the Transferee Trust as an addition to, and as one fund for all purposes with, the trust fund as defined in the Transferee Trust.

3. Trustee's lien

The Re-Settled Fund shall be transferred to the trustee of the Transferee Trust, or to a company under control, subject to the lien in favour of the Trustee for tax and other liabilities.

4. Provisions of the Trust continue to apply

The trusts, powers and provisions contained in the Trust shall continue to apply to the Trust Fund.

5. Payment of tax and expenses

Any tax, costs and expenses and other liabilities occasioned by the exercise of the Power of Re-Settlement shall be borne by the Re-Settled Fund.

EXECUTION

IN WITNESS whereof the Trustee has executed and delivered this Deed of Re-Settlement as a deed on the date stated at the beginning of it.

Execution

SCHEDULE

The Re-Settled Fund

Appendix 13:

Statement of Wishes

To The Trustees for the time being of the [Name] Trust ('the **Trustees**') made between [Settlor] and [Trustee] dated [Date] ('the **Trust**')

From [Name] ('the **Settlor**')

Date

ACKNOWLEDGEMENT

The contents of this memorandum are not binding upon the Trustees and should not be considered binding insofar as I do not intend to restrict the exercise of the Trustees' discretionary powers in any way. Its purpose is to provide guidance and to provide aims, background and the principles I wish the Trustees to consider in the administration of the Trust.

GUIDANCE

1. Overall aim

[To hold and manage my wealth for the benefit of myself and my immediate family during my lifetime. After my death to consolidate, protect and preserve such wealth for the benefit of my children and grandchildren and ensure it stays within the family to be enjoyed reasonably by future generations.]

2. Distributions to Beneficiaries

[2.1A During my lifetime please consider making distributions to me (or as directed by me) in order to keep me and my immediate family in the manner to which we are accustomed.]

[2.2A After my death, ensure my spouse is reasonably provided for.]

[2.3A Subject to that, I would like you to regard my children as the principal beneficiaries.]

Alternatively

[2.1B I wish to express my firm desire (without binding you) that you should transfer the sum of US\$[amount] to my child [X] upon her marriage and the sum of US\$[amount] to my child [Y] upon her reaching the age of 30 years.]

[2.2B Subject to that I express my desire (without binding you) that you should regard my granddaughter [Z] as the principal beneficiary and consider making annual distributions to her of in the region of US\$[amount], to be adjusted upwards in the future for inflation.]

Alternatively

2.1C Special provision of spouse

[For example, annual income and occupation of the matrimonial home]

2.2C Priority amongst children

[For example, primogeniture, based upon sex or equality, or based upon character, achievement, marriage, financial needs and/or prudence.]

2.3C Subsequent generations of beneficiaries

[[For example, based upon needs in case of financial disaster only.]

2.4C Education of beneficiaries

[For example, payment of school and college fees]

2.5C Position of spouses of beneficiaries

[For example, if marriage breaks down.]

3. The investment of the Trust Fund

Etc.

MODIFICATION OF WISHES

Please have regard to any change in my circumstances and the circumstances of my family and any further wishes I may record for your guidance in the future.

DATE

SIGNED

Appendix 14A:

Power of Attorney

DATE

BY: [Name of Beneficiary] ('the **Beneficiary**')

RECITALS

The Beneficiary is a member of the class of beneficiaries of the [Name] Trust, a trust established by Deed of Settlement between [Name] ('the **Settlor**') and [Name of trust company] ('the **Trustee**') on [date] ('the **Trust**')

OPERATIVE PROVISIONS

1. The Beneficiary hereby appoints [Name] ('the **Attorney**') to be his [her] attorney.
2. The Attorney is authorised during the period of [x] months from the date hereof, to receive distributions on behalf of the Beneficiary from the Trustee of the Trust, and to give a valid and lawful receipt therefor.

IN WITNESS the Beneficiary has duly executed this Power of Attorney as a deed on the date above.

Appendix 14B:

Irrevocable Instruction

To [Name of trust company] ('the **Trustee**')
From [Name of Beneficiary] ('the **Beneficiary**')
Date [Date]
Re [The name of the trust] ('the **Trust**')

BACKGROUND

- (A) The Beneficiary is a member of the class of beneficiaries of the Trust, a trust established by Deed of Settlement between [Name] ('the **Settlor**') and the Trustee on [date].
- (B) The Trustee proposes to make a distribution to the Beneficiary of US\$[amount] (the '**Distribution**')

IRREVOCABLE INSTRUCTION

The Beneficiary irrevocably instructs the Trustee to make and pay the Distribution by electronic transfer to the account of [Name] held at [Name of Bank], details of which appear in the Schedule below.

SCHEDULE

Bank Name	Account Holder	Account Number	IBAN
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SIGNED

Appendix 15:

Deed of Release (and indemnity)

DATE:

PARTIES:

- (1) [Name and address] ('the **Beneficiary**'); and
- (2) [Name and address of trust company] ('the **Trustee**').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust.
- (C) By clause [x] of the Trust, the Trustee is conferred with a discretionary power to pay or apply the income generated by the Trust Fund in the following terms: [reproduce the clause from the trust instrument]
- (D) The Beneficiary is a member of the class of Beneficiaries of the Trust.
- (E) The Trustee wishes to, and has exercised the power to pay income conferred by clause [x] of the Trust by making a distribution to the Beneficiary of [US\$ amount] (the '**Distribution**').
- (F) The Beneficiary has agreed to release [and indemnify] the Trustee in the manner hereafter set out.
- (G) In this Deed all definitions, terms and expressions shall, where the context so permits and unless otherwise stated herein, have the meanings respectively ascribed to them by the Trust.

OPERATIVE PROVISIONS

NOW THIS DEED WITNESSES

1. Acknowledgment of receipt

The Beneficiary hereby acknowledges receipt of the Distribution.

2. Payment of tax and expenses

Any tax, costs and expenses and other liabilities occasioned by the Distribution shall be borne by the Beneficiary.

3. Trustee's lien

Nothing in this Deed shall prejudice or impair in any way any lien or charge to which the Trustee is entitled in respect of any liabilities for which it may be or become accountable.

4. Release and Indemnity of the Trustee

4.1 Release

The Beneficiary releases the Trustee entirely from all claims, demands, actions, proceedings and accounts of any kind which he [she] may have, or which any person actually or prospectively interested under the Trust in the Trust Fund or the income of the Trust Fund or the trusts of the Trust may have for any act or thing done or omitted in the execution or purported execution of such trusts other than and except only actions arising from any fraud, wilful misconduct or dishonesty on the part of the Trustee.

4.2 Indemnity

[The Beneficiary promises the Trustee to keep it fully and effectually indemnified entirely from and against all existing, future or contingent liabilities, claims, demands, actions, proceedings and accounts of any kind (and any costs and expenses incurred in connection therewith) which may be brought or threatened to be brought by any person against the Trustee in connection with the Trust or any instruments or deeds supplemental thereto including this Deed or in any way relating to the Trust Fund or any act or thing done by the Trustee arising directly or indirectly or omitted in the execution of the trusts of the Trust and such indemnity shall extend to any claims or demands for taxes, duties or other fiscal liabilities payable in any part of the world in respect of the Trust Fund whether or not such claims or demands are legally enforceable against the Trustee in its jurisdiction of residence PROVIDED ALWAYS THAT:

- (1) such indemnity shall not operate to indemnify the Trustee for liabilities it would not have been entitled to an indemnity for under the terms of the Trust;
- (2) the liability of the Beneficiary under this indemnity shall be limited to the value of the amount of the Distribution.]

EXECUTION

IN WITNESS whereof the parties have executed and delivered this Deed of Appointment as a deed on the date stated at the beginning of it.

Appendix 16A:

Deed of Appointment (from a settlor-directed trust)

DATE:

PARTIES:

- (1) [Name of Settlor ('the **Settlor**')
- (2) [Name and address] ('the **Beneficiary**'); and
- (2) [Name and address of trust company] ('the **Trustee**').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement between the Settlor and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust.
- (C) Clause [x] of the Trust confers upon the Trustee wide powers of appointment of income and capital of the Trust Fund and reserves unto the Settlor a power to give the Trustee instructions to exercise such power in the following terms:

'The Trustees shall hold the Trust Fund and the income thereof upon the following trusts.

1.1 During the lifetime of the Settlor, the Trustees:

- (a) *shall accumulate, pay or apply the income of the Trust Fund to any one or more of the Beneficiaries in accordance with the directions given in writing from time to time by the Settlor*
 - (b) *shall declare and appoint that they hold all or any proportion of the capital of the Trust Fund for or for the benefit of any one or more of the Beneficiaries, in such shares and at such times and in any manner generally as the Settlor may direct in writing from time to time.*
- (D) In exercise of the power conferred by clause [x], the Settlor has delivered to the Trustee an instruction in writing ('the **Instruction**') to make an absolute appointment of the funds specified in the Schedule ('the **Appointed Fund**') to the Beneficiary, who is a member of the class of beneficiaries of the Trust.
- (E) In order to comply with such instruction, the Trustee proposes hereby to exercise the said power of appointment by making an absolute appointment to the Beneficiary of the funds specified in the Schedule ('the **Appointed Fund**') in the manner hereafter set out.
- (F) [The Trustee shall hold the Appointed Fund for and on behalf of the Beneficiary and the Beneficiary has agreed to release and indemnify the Trustee in the manner hereafter set out.]

- (G) In this Deed all definitions, terms and expressions shall, where the context so permits and unless otherwise stated herein, have the meanings respectively ascribed to them by the Trust.

OPERATIVE PROVISIONS

1. Appointment

The Trustee, in exercise of the power of appointment reserved by clause [x] of the Trust and in accordance with the Instruction, hereby irrevocably appoints and declares that the Appointed Fund shall henceforth be held by the Trustee for the Beneficiary absolutely, freed and discharged from the terms of the Trust.

2. Payment of tax and expenses

Any tax, costs and expenses and other liabilities occasioned by the appointment shall be borne by the Beneficiary.

3. Trustee's lien

Nothing in this Deed shall prejudice or impair in any way any lien or charge to which the Trustee is entitled in respect of any liabilities for which it may be or become accountable.

4. Release and Indemnity of the Trustee

4.1 Release

4.2 Indemnity

EXECUTION

IN WITNESS whereof the parties have executed and delivered this Deed of Appointment as a deed on the date stated at the beginning of it.

Execution clause, etc.

SCHEDULE

The Appointed Fund

Appendix 16B:

Deed of Appointment [where power of appointment conferred upon the Settlor]

DATE:

PARTIES:

- (1) [Name of Settlor] of [address] ('the **Appointor**'); and
- (2) [Name of Trust Company] of [address] ('the **Trustee**'); and
- (3) [Name of Beneficiary] Of [address] ('the **Beneficiary**').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement made on [date] between [parties] ('the **Trust**').
- (B) The Appointor is the settlor of the Trust who, by clause [x] of the Trust has reserved during his [her] lifetime a power of appointment of the income and capital of the Trust in the following terms: [Insert terms of Trust]
- (C) The Trustee is the present trustee of the Trust.
- (D) The Beneficiary is a member of the class of Beneficiaries of the Trust.
- (E) The Appointor wishes to exercise the power of appointment conferred by [x] of the Trust by making an absolute appointment to the Beneficiary of the funds specified in the Schedule ('the **Appointed Fund**') in the manner hereafter set out.
- (F) The Trustee shall hold the Appointed Fund for and on behalf of the Beneficiary and in return thereto the Beneficiary has agreed to release and indemnify the Trustee in the manner hereafter set out.
- (G) In this Deed all definitions, terms and expressions shall, where the context so permits and unless otherwise stated herein, have the meanings respectively ascribed to them by the Trust.

OPERATIVE PROVISIONS

1. Appointment

The Appointor, in exercise of the power of appointment reserved by clause [x] of the Trust, hereby irrevocably appoints and declares that the Appointed Fund shall henceforth be held by the Trustee upon trust for the Beneficiary absolutely, freed and discharged from the terms of the Settlement.

2. Trustee's acknowledgment

The Trustee hereby acknowledges that it will comply with such appointment and confirms that the trusts, powers and provisions contained in the Trust shall continue to apply to the remaining assets and property of the Trust.

3. Payment of tax and expenses

Any tax, costs and expenses and other liabilities occasioned by the appointment shall be borne by the Beneficiary.

4. Trustee's lien

Nothing in this Deed shall prejudice or impair in any way any lien or charge to which the Trustee is entitled in respect of any liabilities for which it may be or become accountable.

5. Release and Indemnity of Trustee

5.1 Release

The Beneficiary, so far as he [she] is competent to do so, releases the Trustee entirely from all claims, demands, actions, proceedings and accounts of any kind on the part of any person (whether in existence or not) actually or prospectively interested under the Trust or any act or thing done or omitted in execution or purported execution of such trusts other than and except only actions arising from any fraud, wilful misconduct or gross negligence in which the Trustee was a party.

5.2 Indemnity of Trustee

The Beneficiary hereby covenants with the Trustee to keep it fully and effectually indemnified entirely from and against all existing, future or contingent liabilities, claims, demands, actions, proceedings and accounts of any kind (and any costs and expenses incurred in connection therewith) which may be brought or made or threatened to be brought or made by any person against the Trustee in connection with the Trust or any instruments or deeds supplemental thereto including this Deed or in any way relating to the Trust Fund or any act or thing done by the Trustee arising directly or indirectly or omitted in execution or purported execution of the trusts of the Trust and such indemnity shall, without prejudice to the generality of the foregoing, extend to any claims or demands for taxes, duties or other fiscal liabilities payable in any part of the world on or in respect of the Trust Fund arising or made at any time and whether or not such claims or demands are legally enforceable against the Old Trustee in its jurisdiction of residence PROVIDED ALWAYS THAT:

- (1) such indemnity shall not operate to indemnify the Trustee for liabilities it is not entitled to an indemnity for under the terms of the Trust;
- (2) the liability of the Beneficiary under this indemnity shall be limited to the value of the Appointed Fund.

EXECUTION

IN WITNESS whereof the parties have executed and delivered this Deed of Appointment as a deed on the date stated at the beginning of it.

Execution provisions

SCHEDULE

'The Appointed Fund' means US\$ [amount]

Appendix 17:

Deed of Release of Life Interest

DATE:

PARTIES:

- (1) [Name of life tenant] (the '**Life Tenant**'); and
- (2) [Name of trust company] (the '**Trustee**').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement made on [date] between the Settlor and the Trustee and known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust.
- (C) Under the Trust, the Life Tenant is entitled to the income of the Trust Fund for life.
- (D) The Life Tenant wishes to release her [his] interest in the income of the Trust Fund.
- (E) In this Deed the definition of 'Trust Fund' shall have the same meaning as in the Trust.

OPERATIVE PROVISIONS

NOW THIS DEED WITNESSES

The Life Tenant hereby releases her [his] interest in the income of the Trust Fund with the intention that the provisions contained in clause [x] of the Trust shall take effect upon the release of such interest.

IN WITNESS, etc

Appendix 18:

Deed of Assignment of Life Interest

DATE:

PARTIES:

- (1) [Name of life tenant] ('the **Assignor**'); and
- (2) [Name of Assignee] (the '**Assignee**')
- (3) [Name of Trust Company] ('the **Trustee**').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement made on [date] between the Settlor and the Trustee and known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust.
- (C) Under the Trust, the Assignor is the life tenant under the Trust and is entitled to the income of the Trust Fund for her [his] life.
- (D) The Assignor wishes to assign her [his] interest in the income of the Trust Fund to the Assignee.
- (E) The Trustee is a party to this Deed to acknowledge that it has received notice thereof.
- (F) In this Deed the definition of 'Trust Fund' shall have the same meaning as in the Trust.

OPERATIVE PROVISIONS

1. The Assignor hereby assigns to the Assignee absolutely the Assignor's interest in the Trust.
2. The Assignor promises to provide such evidence of life from time to time as may reasonably be required.
3. The Trustee acknowledges that the assignment has been made and effected.

IN WITNESS, etc

Appendix 19:

Trustees' Resolution Permitting a Beneficiary to Occupy Real Estate

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY ('the **Trustee**')

IT IS NOTED THAT

- (A) This Resolution is supplemental to a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust and has considered the motion to pass this resolution solely in its capacity as Trustee of such Trust.
- (C) Under the Trust, [Name of life tenant] ('the **Life Tenant**') has a life interest in the income of the Trust Fund, and the Trust Fund includes a dwelling-house located at [address] ('the **Property**')
- (D) The Trustee has determined to allow the Life Tenant to occupy the Property on the following terms.

RESOLUTION

THE TRUSTEE HEREBY RESOLVES that the Life Tenant shall have the right to occupy the Property, until further notice, on the terms and conditions set out in the Schedule.

SCHEDULE

[Insert terms and conditions such as payment of property taxes, insurance premiums, utilities, maintenance, repairs and renewals, etc.]

SIGNED

DATE

Appendix 20A:

Trustees' Resolution to Pay Income to Life Tenant

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY ('the **Trustee**')

IT IS NOTED THAT

- (A) This Resolution is made in respect of a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**'). The Trustee is the present trustee of the Trust and passes this resolution solely in its capacity as Trustee of such Trust.
- (B) The Trustee [and the Company underlying the Trust that holds the Trust Fund] has rendered accounts for the financial year ending [date] which reveal net distributable income of \$[amount].

IT IS RESOLVED

- 1. THAT the Trustee do distribute to [Life Tenant] the sum of \$[amount] by electronic transfer to his [her] account [details].
- 2. [THAT the relevant trust officer be and is hereby authorised by the Trustee and instructed to arrange and make such distribution from the Trust's USD account].
- 3. [THAT the relevant trust officer be and is hereby authorised and instructed to procure the Company underlying the Trust that holds the Trust Fund to arrange and make such distribution from the Company's USD account].

DATED

SIGNED

Appendix 20B:

Trustees' Resolution to Close the Trust upon the Death of Life Tenant

[NAME OF TRUST COMPANY]

Written Resolution of the Directors Of [Name] Trust Company ('the **Trustee**')

IT IS NOTED THAT

- (A) This Resolution is made in respect of a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust and passes this resolution solely in its capacity as Trustee of such Trust.
- (C) [Name of life tenant] ('the **Life Tenant**') died on [date] and, under clause [x] of the Trust, [name] (the '**Remainderman**') is entitled to the Trust Fund held in the Trust absolutely.
- (D) The Trustee [and the Company underlying the Trust that holds the Trust Fund] has rendered trust [and company] accounts for the financial year beginning [date] calculated up to the date of death of the Life Tenant, and paid all known expenses and the Remainderman [and executors of the estate of the Life Tenant] have approved such accounts by each signing the same.
- (E) [The Trustee has advertised for claimants under [legislation of the governing law of the trust] and has not received any claim within the statutory period therefor.]
- (F) The Trustee is satisfied that the trust has been brought to an end by the death of the Life Tenant and that the Remainderman is now entitled to the Trust Fund absolutely.
- (E) The Remainderman is prepared to release and discharge the Trustee from claims relating to the administration of the Trust and to indemnify the Trustee in respect of future trust expenses, taxes and other claims that may arise in the future in the manner hereafter appearing.

THE TRUSTEE HEREBY RESOLVES

- 1. THAT the Trustee hereby approves the draft Deed of Release and Indemnity attached hereto and that [name] be and is hereby authorised to execute it as a deed on behalf of the Trustee.
- 2. THAT the Trustee shall transfer forthwith the legal title to the various assets that comprise the Trust Fund to the Remainderman [and that the relevant trust officer be and is hereby authorised to prepare and execute on behalf of the Trustee all necessary documentation to fulfil the intent of this resolution].
- 3. [THAT the Trustee shall and hereby irrevocably declares that it holds shares of the Company that underlies the Trust for and on behalf of the Remainderman absolutely, freed and discharged from the terms of the Trust].

SIGNED

DATE

Appendix 21:

Trustees' Resolution to Exercise a Discretionary Power to Terminate a Life Interest

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY ('the **Trustee**')

IT IS NOTED THAT

- (A) This Resolution is made in respect of a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**'). The Trustee is the present trustee of the Trust and passes this resolution solely in its capacity as Trustee of such Trust.
- (B) Clause [x] of the Trust confers upon the Trustee a discretionary power to terminate the life interest of Beneficiary A and the Trustee wishes to exercise such power.
- (C) The Trustee [and the Company underlying the Trust that holds the Trust Fund] has rendered trust [and company] accounts for the financial year beginning [date] calculated up to the date hereof, and paid all known expenses and Beneficiary B has approved such accounts by signing the same.
- (D) The Trustee is satisfied that the trust will be brought to an end by the termination of the life interest and that Beneficiary B will be entitled to the Trust Fund absolutely.
- (E) Beneficiary B is prepared to release and discharge the Trustee from claims relating to the administration of the Trust and to indemnify the Trustee in respect of future trust expenses, taxes and other claims that may arise in the future in the manner hereafter appearing.

IT IS RESOLVED

- 1. THAT in exercise of the power conferred by clause [x] of the Trust, the Trustees hereby resolve to terminate the life interest of Beneficiary A [and thereby bring forward the interest in remainder of Beneficiary B].
- 2. THAT a copy of this resolution be served upon Beneficiary A [and that the relevant trust officer of the Trustee be and is hereby authorised to effect such service forthwith].
- 3. THAT the Trustee shall transfer forthwith the legal title to the various assets that comprise the Trust Fund to Beneficiary B [and that the relevant trust officer be and is hereby authorised to prepare and execute on behalf of the Trustee all necessary documentation to fulfil the intent of this resolution].
- 4. [THAT the Trustee shall and hereby irrevocably declares that it holds shares of the Company that underlies the Trust for and on behalf of Beneficiary B, freed and discharged from the terms of the Trust].

DATE

SIGNED

Appendix 22:

Trustees' Resolution to Lend Money to a Beneficiary

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY ('the **Trustee**')

IT IS NOTED THAT

- (A) This Resolution is made in respect of a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**'). The Trustee is the present trustee of the Trust and passes this resolution solely in its capacity as Trustee of such Trust.
- (B) Clause [x] of the Trust confers upon the Trustee a discretionary power to lend money or assets to a Beneficiary on such terms as the Trustee thinks fit.
- (C) The Trustee has determined to make a loan to [Beneficiary] on the terms hereafter set out

IT IS RESOLVED

1. THAT in exercise of the power conferred by clause [x] of the Trust, the Trustee hereby resolves to lend to [Beneficiary] the sum of US\$ [amount] upon the terms and conditions set out in a Promissory Note, a copy of which is attached hereto (the 'Promissory Note')

[upon the terms and conditions set out in the Loan Agreement and Mortgage Deed (the 'Security Documents') attached hereto].
2. THAT the Promissory Note [Security Documents] be and is hereby approved.
3. [That the authorised representative of the Trustee be and is hereby authorised to procure the underlying company that holds the Trust Fund for and on behalf of the Trust to transfer electronically the said sum from its USD Account to the account of, or as directed by, the Beneficiary.]

DATE

SIGNED

PROMISSORY NOTE

I, [Name of Beneficiary] of [address] HEREBY PROMISE to repay the sum of US\$[amount] to [Name of Trust Company] in its capacity as trustee of the [Name of Trust] UPON DEMAND and WITHOUT INTEREST.

DATE

SIGNED

Appendix 23:

Trustees' Resolution to Appoint an Investment Manager

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY ('the **Trustee**')

IT IS NOTED THAT

- (A) This Resolution is made in respect of a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**'). The Trustee is the present trustee of the Trust and passes this resolution solely in its capacity as Trustee of such Trust.
- (B) Clause [x] of the Trust confers upon the Trustee a power to delegate by engaging agents to transact business on behalf, and in connection with the administration, of the Trust.
- (C) The Trustee requires the services of an investment manager to manage the investment of the Trust Fund.

IT IS RESOLVED

- 1. THAT in exercise of the power conferred by clause [x] of the Trust, the Trustee hereby appoints {Name of firm] ('the **Investment Manager**') as investment manager to manage the investment of the Trust Fund on a discretionary basis.
- 2. THAT the terms and conditions set forth and recorded in a draft Investment Management Agreement between the Trustee and the Investment Manager, a copy of which is attached hereto and forms part of these resolutions ('the Investment Management Agreement'), be and are hereby approved.
- 3. THAT a director be and is hereby authorised to execute the Investment Management Agreement on behalf of the Trustee. [That the authorised representative of the Trustee be and is hereby authorised to procure the underlying company that holds the Trust Fund for and on behalf of the Trust to approve and enter into the Investment Management Agreement.]
- 4. THAT the authorised officers of the Trustee [Underlying Company] be and are hereby authorised to do and perform any and such acts, including the transfer of money, securities or assets held in the Trust Fund to the brokerage account of the Investment Manager, as such officers shall deem necessary or advisable to carry out the purposes of the foregoing resolutions.

DATE

SIGNED

Appendix 24A:

Trustees' Resolution to Bring, Defend Legal Proceedings

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY ('the **Trustee**')

IT IS NOTED THAT

- (A) This Resolution is made in respect of a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**'). The Trustee is the present trustee of the Trust and passes this resolution solely in its capacity as Trustee of such Trust.
- (B) Clause [x] of the Trust confers upon the Trustee a power to bring legal proceedings to enforce claims relating to the Trust and/or the Trust Fund.
- (C) Based upon the advice of counsel, the Trustee believes it has a valid claim against [Name] (the 'Defendant') arising from [describe concisely the cause of action] (the 'Claim').

IT IS RESOLVED

- 1. THAT in exercise of the power conferred by clause [x] of the Trust, the Trustee shall pursue the Claim, through legal proceedings if necessary.
- 2. THAT [Name] Attorneys [and Her Majesty's Counsel] be and are hereby instructed, upon such fee arrangements as may be acceptable to the Trustee, to file legal proceedings against the Defendant to enforce the Claim.
- 3. THAT officers of the Trustee be and are authorised to continue [further] negotiations with the Defendant with a view to agreeing a compromise settlement to the Claim which is acceptable to the Trustee.
- 4. THAT any actions taken by trust officers to the date of these resolutions in connection with the Claim be and are hereby ratified and approved as acts of the Trustee.

DATE

SIGNED

Appendix 24B:

Trustees' Resolution to Compromise Legal Proceedings

[NAME OF TRUST COMPANY]

WRITTEN RESOLUTION OF THE DIRECTORS OF [NAME] TRUST COMPANY ('the **Trustee**')

IT IS NOTED THAT

- (A) This Resolution is made in respect of a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**'). The Trustee is the present trustee of the Trust and passes this resolution solely in its capacity as Trustee of such Trust.
- (B) Clause [x] of the Trust confers upon the Trustee a power to compromise legal proceedings brought by the Trustee to enforce claims relating to the Trust and/or the Trust Fund.
- (C) The Trustee is presently engaged in litigation with [Name] (the '**Defendant**').
- (D) An offer of settlement has been proposed by the Defendant in the following terms [Details] (the '**Proposed Settlement**') and reduced into writing by the Trustee's Attorneys ('the **Deed of Compromise and Mutual Release**')
- (E) Counsel has recommended that the Proposed Settlement be accepted [subject to the following conditions [insert if applicable] on the following basis [insert details]
- (F) The Trustee is of the opinion that the Proposed Settlement is in the best interests of the Beneficiaries of the Trust.

IT IS RESOLVED

- 1. THAT the Proposed Settlement be and is hereby accepted.
- 2. THAT the Deed of Compromise and Mutual Release be and is hereby approved.
- 3. THAT any two directors of the Trustee be and are hereby authorised to execute the Deed of Compromise and Mutual Release as a deed.
- 4. THAT the authorised officers of the Trustee be and are hereby authorised to do and perform any and such acts as such officers shall deem necessary or advisable to carry out the purposes of the foregoing resolutions.....

DATE

SIGNED

Appendix 25:

Deed of Variation of Administrative Provisions

DATE:

BY: [Name and address of trust company] ('the **Trustee**').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement between [Settlor] and the Trustee made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust.
- (C) By clause [x] of the Trust, the Trustee has the power to vary any of the administrative provisions of the Trust.
- (D) The Trustees wish to add the administrative provisions specified in the Schedule.

OPERATIVE PROVISIONS

NOW THIS DEED WITNESSES

The Trustees hereby declare that the Trust shall be read and construed as if the provisions specified in the Schedule were expressly incorporated into the Schedule of the Trust.

EXECUTION

IN WITNESS whereof the Trustee has executed and delivered this Deed of Variation of Administrative Provisions as a deed on the date stated at the beginning of it.

Signed as a deed and delivered by:

In the presence of:

SCHEDULE

Details of additional administrative power

Appendix 26:

Deed of Revocation of Trust

DATE:

BY: [Name of settlor] ('the **Settlor**').

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement between the Settlor and [Name of trustee] ('the **Trustee**') made on [date] known as the [Name] Trust ('the **Trust**').
- (B) The Trustee is the present trustee of the Trust and it is intended that this Deed will forthwith be served upon it.
- (C) By clause [x] of the Trust, the Settlor has reserved the power to revoke the Trust, in whole or in part.

OPERATIVE PROVISIONS

NOW THIS DEED WITNESSES

- 1. THAT the Settlor hereby revokes the Trust in full.
- 2. THAT by such revocation, the Trustee shall henceforth hold the Trust Fund for and on behalf of the Settlor absolutely.

Alternatively

- 3. THAT the Settlor hereby revokes the Trust in relation to that part of the Trust Fund described in the Schedule ('the **Assets of the Trust Fund Subject to Partial Revocation**'), with the intent that the Assets of the Trust Fund Subject to Partial Revocation shall henceforth be held by the Trustee for and on behalf of the Settlor absolutely, and that the remaining assets held in the Trust Fund shall continue to be held by the Trustee subject to the trusts of the Trust.

EXECUTION

IN WITNESS whereof the Settlor has executed and delivered this Deed of Revocation as a deed on the date stated at the beginning of it.

Signed as a deed and delivered by:

in the presence of:

SCHEDULE

[If partial revocation, describe the Assets in the Trust Fund Subject to the Partial Revocation]

Appendix 27:

Deed of Change of Governing Law

DATE

BY: [Name of Trustees] ('the **Trustees**')

RECITALS

- (A) This Deed is supplemental to a Deed of Settlement dated [date] between [Name] ('the **Settlor**') and the Trustees known as the [Name] Trust ('the **Trust**').
- (B) Clause [x] of the Trust confers a power upon the Trustees to change the governing law of the Trust.
- (C) The Trustees wish to exercise the power and change the governing law of the Trust to [jurisdiction], which laws recognise the Trust and adequately protect the interests of the beneficiaries thereof.

OPERATIVE PROVISIONS

Pursuant to clause [x] of the Trust, the Trustees hereby declare that from the date hereof the Trust shall be governed by the laws of [jurisdiction].

IN WITNESS the Trustees have duly executed this Deed as a deed on the date above.

Appendix 28:

Power of Attorney (to supplement a flee clause)

DATE

BY: [Name of Trustees] ('the **Trustees**')

RECITALS

- (A) This Power of Attorney is supplemental to a Deed of Settlement dated [date] between [name] ('the **Settlor**') and the Trustees known as the [name of trust] ('the **Trust**').
- (B) Clause [x] of the Trust contains a flee clause, so that upon the occurrence of an Emergency Event the Trustees shall cease to be trustee of the Trust and [Name of the New Trustee] ('the **New Trustee**') shall become the new trustee of the Trust. In order to facilitate the transition of the Trust Fund to the New Trustee upon the occurrence of an Emergency Event, sub-clause [xx] of the Trust states:

The [Retiring] Trustees shall be divested of title to all the assets comprised in the Trust Fund and those assets shall vest automatically in the New Trustee (and the Trustees hereby irrevocably grants to the New Trustee a power of attorney to transfer those assets to the New Trustee on behalf of the Retiring Trustees).
- (C) The Trust Fund comprises assets held by [Name of Company], an underlying company incorporated and managed by the Trustees for the purposes of holding the Trust Fund ('the **Underlying Company**'), the shares of which are held by the Trustees.
- (D) In this Deed all definitions, terms and expressions shall, where the context so permits and unless otherwise stated herein, have the meanings respectively ascribed to them by the Trust.

OPERATIVE PROVISIONS

1. Pursuant to clause [xx] of the Trust, the Trustees hereby appoint the New Trustee to be its attorney.
2. The New Trustee is irrevocably authorised during the Trust Period to transfer the shares in the Underlying Company to itself upon the occurrence of an Emergency Event when the New Trustee becomes the new trustee of the Trust.

IN WITNESS the Trustees have duly executed this Power of Attorney as a deed on the date above.

Appendix 29:

Deed of Nomination of Successor Protector

DATE:

PARTIES:

1. [Name] ('the **Appointor**')
2. [Name] ('the **Successor Protector**')
3. [Name] ('the **Trustee**')

RECITALS

- (A) This deed is supplemental to a Deed of Settlement dated [date] between [name] ('the **Settlor**') and the Trustee known as the [name of trust] ('the **Trust**').
- (B) The Appointor is the Protector as defined in the Trust.
- (C) By clause [x] of the Trust the Appointor has the power to nominate a person to become the Protector upon the Appointor ceasing to be the Protector.
- (D) The Appointor now wishes to exercise the power of nomination.

OPERATIVE PROVISIONS

1. **Nomination of Successor Protector**

In exercise of the power conferred by clause [x] of the Trust, the Appointor hereby nominates the Successor Protector to become the Protector upon the Appointor ceasing to be the Protector.

2. **Consent to nomination**

The Successor Protector hereby consents to this nomination.

3. **Power of revocation**

The Appointor shall have power at any time whilst Protector, by deed, to revoke this nomination and, by the same or any other deed, to nominate any other person to be Protector under the terms of clause [x] of the Trust.

4. **Notice of nomination**

The Trustee hereby acknowledges notice of this nomination.

IN WITNESS WHEREOF, etc

Appendix 30:

Specimen STAR Trust for Employee Benefit Trust

THIS DECLARATION OF TRUST

DATED

BETWEEN:

[NAME OF TRUSTEE] of [address] ('the **Trustee**');

[NAME OF ENFORCER] of [address] ('the **Enforcer**').

RECITALS

- (A) This trust shall be known as the [Name] Trust ('the **Trust**') and the provisions of Part VIII of the Trusts Law shall apply to it.
- (B) The Trustee has received or has otherwise had placed under its control the property defined in sub-clause 1.12(a) as the Initial Trust Fund with the intent that such property be held upon the trusts set out herein.

OPERATIVE PROVISION

THIS DEED WITNESSES as follows:

1. DEFINITIONS AND INTERPRETATION

In this deed:

- 1.1 'Beneficiaries' means (a) [Name] and (b) any person or class of persons added to the class of Beneficiaries by the Trustee pursuant to clause 9.
- 1.2 'Business Plan' means the Business Plan set out on Schedule 2.
- 1.3 'Company' means [Name of employer company]
- 1.4 'Controlled Company' means any company in which the Trustees hold as part of the Trust Fund a controlling interest, namely the ownership of shares of the company that confer voting rights sufficient to elect the majority of directors.
- 1.5 'Employees' means an employee or officer, including non-executive directors, of the Company, or subsidiaries of the Company within its group.
- 1.6 'Eligible Person' means Employees and former Employees from time to time and the spouses and children of such Employees.
- 1.7 'Enforcer' means the Enforcer or any other successor enforcer for the time being of the Trust.
- 1.8 'Objects' means the objects of this Trust described in clause 3.
- 1.9 'Overriding Powers' means the powers set out in clause 7.

- 1.10 'Purposes' means the purposes of this Trust described in clause 4.
- 1.11 'Trustees' means the Trustee or trustees for the time being of this Trust.
- 1.12 'Trust Fund' means: (a) the Initial Trust Fund of \$10.00; (b) all property transferred to and accepted by the Trustees to hold upon the terms of this Trust; and (c) all accumulations of income.
- 1.13 'Trust Period' means the period from the date of this deed until such date as the Trustees declare to be the termination date pursuant to clause 23, when this Trust shall be brought to an end.

2. Part viii of the trusts law

Part VIII of the Trusts Law (as revised from time to time) of the Cayman Islands shall apply to this Trust.

3. Objects

The Objects of this Trust are:

- 3.1 to apply the Trust Fund for the Purposes in accordance with Clause 4;
- 3.2 to apply the Trust Fund for the benefit of any of the Beneficiaries or the Purposes in accordance with Clauses 6 and 7; and
- 3.3 with the prior written consent of the Enforcer, to apply the Trust Fund for charitable purposes generally.

4. Purposes

- 4.1 The Purposes for which this Trust is established are to provide a mechanism for the control of the Controlled Company by holding the shares of the Controlled Company and exercising the rights to vote conferred upon the Trustees as holder of such shares and, in particular, to carry out the Business Plan (to enable the Controlled Company to operate independently and administer an employee share plan for the benefit of Employees of the Company).
- 4.2 The Trustees and the Enforcer jointly shall have power to resolve any uncertainty as to the Purposes or to the mode of execution of the trusts created by this Trust.
- 4.3 The Trustees shall carry out the Business Plan in dealing with the Trust Fund and in exercising its rights as holder of the shares of the Company.

5. Trusts of original and additional property

- 5.1 The Trustees shall hold the Trust Fund upon trust subject to the trusts, powers and provisions of this Trust.
- 5.2 The Trustees may at any time during the Trust Period accept any money investments or property of whatsoever nature and wheresoever situate to be held upon the terms of this Trust.

6. Trust income

During the Trust Period and subject to the Overriding Powers set out in clause 7:

- 6.1 The Trustees shall pay or apply such of the income of the Trust Fund to or for the benefit of any Beneficiaries, or for the furtherance of the Purposes, in accordance with any direction given in writing by the Enforcer.
- 6.2 The Trustees shall accumulate any or all of the income of the Trust Fund not paid or applied pursuant to clause 6.1 and such accumulated income shall be added to the capital of the Trust Fund.

7. Overriding powers

7.1 *Power of appointment*

- 7.1.1 Subject to the prior written consent of the Enforcer, the Trustees may declare and appoint that they hold all or any part of the Trust Fund for or for the benefit of any one or more of the Beneficiaries or for the furtherance of the Purposes on such terms as the Trustees think fit.
- 7.1.2 The exercise of the power of appointment conferred by sub-clause 7.1.1 may be revocable or irrevocable and shall be by deed.

7.2 *Power of re-settlement*

- 7.2.1 Subject to the prior written consent of the Enforcer, the Trustees may transfer all or any part of the Trust Fund to the trustees of another trust, wherever established, to hold on the terms of that trust, freed and released from the terms of this Trust, provided at least one person who may benefit is (or would if living be) a Beneficiary or if the Purposes would be furthered.
- 7.2.2 The exercise of the power of re-settlement conferred by sub-clause 7.2.1 may be revocable or irrevocable and shall be by deed.

8. DEFAULT CLAUSE

Subject to the powers in Clauses 6 and 7, the Trustees shall at the expiry of the Trust Period hold the Trust Fund and the income thereof on trust for any one or more of the Beneficiaries, and if more than one in such shares as the Trustees shall in their absolute discretion determine, and subject to and in default of such a determination for the Beneficiaries in equal shares absolutely; and if there shall be no Beneficiaries, for such charitable purposes as the Trustees shall in their absolute discretion determine.

9. ADDING BENEFICIARIES

- 9.1 Subject to the prior written consent of the Enforcer, the Trustees may at any time during the Trust Period add one or more Eligible Persons as Beneficiaries provided that no Person who has been excluded irrevocably as a Beneficiary shall be added.
- 9.2 Any such addition may be revocable or irrevocable and shall be by deed.

10. EXCLUDING BENEFICIARIES

- 10.1 The Enforcer may at any time during the Trust Period give a direction in writing to the Trustees to exclude one or more persons as Beneficiaries.
- 10.2 Any such exclusion may be revocable or irrevocable and shall be by deed. Any person so excluded shall for the period of his exclusion be incapable of benefiting under this Trust.

11. APPOINTMENT RETIREMENT AND REMOVAL OF TRUSTEES

- 11.1 The power of appointing Trustees may be exercised by the Enforcer.
- 11.2 If the Enforcer shall be unwilling or incapable of acting whether by virtue of incapacity or because he [she] cannot be found or should he [she] fail to appoint a successor Trustee within a period of 60 days of receipt of the Trustee's notice of his [her] wish to be discharged from trusteeship, then the Trustees may appoint a successor Trustee.
- 11.3 A Trustee may retire by document in writing delivered to the Enforcer. On delivery of such document the Trustee shall be discharged provided that there remains at least one Trustee. Where on delivery of such document no Trustee shall remain in office, such document shall only take effect upon the appointment of a successor Trustee.
- 11.4 A Trustee shall cease to be a Trustee if:
 - 11.4.1 the Trustee ceases to exist, is unfit to act, is declared bankrupt (or similar status) in any part of the world or makes (or seeks to make) any arrangement or composition with creditors in any part of the world, enters into liquidation or dissolution whether compulsory or voluntary (not being merely a voluntary liquidation for the purposes of amalgamation, merger, redomiciliation or re-construction);
 - 11.4.2 the Trustee is removed by the Enforcer pursuant to Clause 11.5.
- 11.5 The Enforcer may remove any Trustee by deed delivered to the Trustee at any time during the Trust Period. Upon delivery of such document, the outgoing Trustee shall cease to be a Trustee and shall be discharged provided that there remains in office a continuing or successor Trustee.

12. Retirement and removal of Enforcer

- 12.1 The Enforcer shall cease to be an Enforcer if the Enforcer: dies or ceases to exist; becomes unfit to act; is declared bankrupt (or similar status) in any part of the world or makes (or seeks to make) any arrangement or composition with creditors in any part of the world; enters into liquidation or dissolution whether compulsory or voluntary (not being merely a voluntary liquidation for the purposes of amalgamation, merger, redomiciliation or re-construction).
- 12.2 The Enforcer shall cease to be Enforcer by giving not less than 30 days' notice in writing to the Trustees of the Enforcer's wish to retire; or is removed by the court in the jurisdiction of the governing law.

13. Appointment of Enforcer

- 13.1 When an Enforcer ceases to be Enforcer under Clause 12, if he [she] was the sole Enforcer then a replacement Enforcer shall be appointed by [Name] by deed delivered to the outgoing Enforcer and the Trustees.
- 13.2 If there shall at any time be no Enforcer of this Trust for a period of 21 days the Trustees shall by a document in writing appoint an Enforcer.

14. Investment and Administrative Provisions

- 14.1 The Trustees shall have no duty to invest the Trust Fund and may not exercise any Investment Powers other than in accordance with directions given in writing by the Enforcer.
- 14.2 The Enforcer may direct the Trustees to exercise any of their powers of investment.
- 14.3 Subject as above, the Administrative Provisions in Schedule 1 shall have effect.

15. Exercise of Enforcer's Powers and Trustees' Protection

- 15.1 All the powers vested in the Enforcer are personal to the Enforcer and shall not be capable of being exercised by any personal representative, successor in title or any other person on his [her] behalf.
- 15.2 The powers of the Trustees specified in clause 6 and 7 may only be exercised with the prior written consent of the Enforcer.
- 15.3 Notwithstanding the terms of any direction given in writing by the Enforcer and before exercising any powers to give effect to such direction, the Trustees may require the provision of reasonable security for liabilities whether existing, future, contingent or otherwise; and/or satisfactory AML due diligence verification.
- 15.4 If at any time the Trustees have reason to believe that the Enforcer is unwilling or unfit to act or refuses to act, the Trustees shall inform the person (if any) with the power to appoint and remove Enforcers. If the Enforcer remains in office the Trustees may apply to the court in the jurisdiction of the governing law for the removal of the Enforcer and the appointment of a replacement Enforcer.

16. Enforcement of the trust

- 16.1 The Enforcer has a duty to enforce the terms of this Trust, and a duty to act responsibly with a view to the proper execution of this Trust. No person, other than the Enforcer, shall have a right or duty to enforce this Trust.
- 16.2 The Enforcer has a duty to act in good faith and in the furtherance of the Objects and all powers of the Enforcer shall be fiduciary powers.
- 16.3 The Enforcer has no duty to supervise or investigate the administration of this Trust save that the Enforcer shall investigate any allegation of wrongdoing or unfitness on the part of the Trustees made by any director or manager of the Controlled Company.
- 16.4 The Enforcer may assume in conducting any review or investigation pursuant to sub-clause 16.3 above that information supplied by the Trustees (or any director or manager of the Controlled Company) is true and fair.

- 16.5 In deciding whether or not to commence legal proceedings concerning this Trust, or to continue, compromise or abandon such proceedings, the Enforcer may in his [her] discretion: rely upon legal or other advice obtained by the Enforcer or the Trustees; have regard to the cost, publicity and other adverse effects of the proceedings on the Trust; abandon or decline to commence legal proceedings unless funded, or assured of funding, to the Enforcer's satisfaction that all legal and other costs of the proceedings shall be paid by the Trustees out of the Trust Fund.
- 16.6 In the event that the Enforcer decides to, or investigates the potential to, commence legal proceedings against the Trustees to enforce the trusts and powers created by this Trust, the Trustees shall advance out of the Trust Fund all monies reasonably required to meet the Enforcer's costs, including any retainer required by the Enforcer's legal advisers or representatives and in making such advances the Trustees shall reply upon statements by the Enforcer's legal advisers or representatives as to the amount or amounts required.
- 16.7 The Enforcer shall be entitled to inspect and take copies of all or any documents, records or accounts relating to this Trust, the Trust Fund and the administration or investment thereof by the Trustees and the Trustees shall promptly provide the Enforcer with all information it may reasonably request concerning the Trust and its administration by the Trustees.

17. Trustee and enforcer remuneration

- 17.1 The Trustee may charge remuneration, payable out of the Trust Fund, in accordance with its usual terms and conditions of business in force from time to time during the Trust Period, for any services that the Trustee provides to or on behalf of the Trust.
- 17.2 A Trustee shall be entitled to reimbursement out of the Trust Fund for, or to pay out of the Trust Fund, all expenses and liabilities reasonably incurred in connection with the Trust.
- 17.3 The Enforcer may charge reasonable remuneration, payable out of the Trust Fund, for any services that he [she] provides to, on behalf of or in connection with the Trust and reimbursement for any expenses reasonably incurred.
- 17.4 The Trustee may provide banking services upon its usual terms and may retain any reasonable commission or profit in respect of any transaction relating to this Trust provided that it would be entitled in the normal course of business to receive and retain the commission or profit.

18. Liability of trustees and enforcers

- 18.1 The Trustee shall not be liable for loss to the Trust Fund when it has acted in accordance with a direction given in writing by the Enforcer.
- 18.2 Neither the Trustee nor the Enforcer shall be liable for loss to the Trust Fund arising from any error, mistake, act or omission to act committed by the Trustee in relation to the exercise of any of its powers unless caused by its own actual fraud, wilful misconduct or gross negligence.
- 18.3 Neither the Trustee nor the Enforcer shall be liable for loss arising from the negligence, wilful misconduct or fraud of any delegate, agent or adviser

appointed or employed by the Trustees in good faith; or anything done or omitted to be done in reliance upon any advice given or purporting to have been given by any investment adviser or manager appointed or employed by the Trustees.

19. Variation and rectification

- 19.1 Subject to the prior written consent of the Enforcer, the Trustees may at any time during the Trust Period by document in writing vary, amend, add to or delete any of the provisions of this Trust (including the Business Plan) as the Trustees may consider expedient for the Objects of this Trust.
- 19.2 Any such variation, amendment, addition, deletion or rectification:
- 19.2.1 shall not infringe the governing law, nor permit any Beneficiary excluded to benefit;
- 19.2.2 shall not alter or affect the rights of any Beneficiary which have accrued before the date of the variation, amendment, addition, deletion or rectification; and
- 19.2.3 shall not invalidate any previous payment or application of the Trust Fund.

20. Reforming the trust

If the furtherance of the Purposes becomes in whole or in part impossible or impracticable; or unlawful or contrary to public policy; or obsolete in that, by reason of changed circumstances, it fails to achieve the general intent of this Trust, the Trustees may, with the prior written consent of the Enforcer, reform the Purposes as they think fit.

21. Disclosure and confidentiality

- 21.1 Subject to the requirements of the governing law regarding the right of the Trustees to refuse disclosure of any document, the Trustees shall not (unless compelled to do so by an order of a court of competent jurisdiction) be bound to disclose to any person any of the following documents:
- 21.1.1 any document disclosing any deliberations of the Trustees as to the manner in which the Trustees should exercise any power or discretion conferred on them by this Trust or disclosing the reasons for any particular exercise or non-exercise of any such power or discretion;
- 21.1.2 any letter of wishes written by any person relating to the exercise of powers or discretions by the Trustees; or
- 21.1.3 any matters which are otherwise confidential or in respect of which the Trustees owe duties of confidentiality.
- 21.2 Subject to the requirements of the governing law, the Trustees shall keep the affairs of this Trust confidential and are not obliged to disclose to any Beneficiary or any other person having any interest in this Trust or any other person whatsoever any document or other matter relating to the trusts of this Trust or concerning the whole or any part of the Trust Fund.

22. Governing Law

The governing law of this Trust shall be the law of the Cayman Islands, the courts of which shall be the forum for the administration of this Trust. The Cayman Islands courts shall have exclusive jurisdiction in any proceedings involving rights or obligations under this Trust.

23. Declaration to Terminate Trust by end of Trust Period

Subject to the prior written consent of the Enforcer, the Trustees may at any time by deed declare a date on which this Trust shall terminate, which shall be the date of expiration of the Trust Period.

24. Irrevocability

This Trust is irrevocable.

IN WITNESS of which the parties have executed this document as a deed on the date stated above.

EXECUTION BLOCKS NOT REPRODUCED

SCHEDULE 1**Administrative Provisions**

[NOTE the administrative provisions have not been reproduced in full.]

1. Powers of Management

The Trustees may carry out any transaction relating to the management or disposition of Trust Property as if they were absolutely entitled to it.

2. Investment

The Trustees may make any kind of investment that they could make if they were absolutely entitled to the Trust Fund and are under no obligation to diversify the investments in the Trust Fund.

3. Trade

4. Borrowing

5. Delegation

6. Nominees and Custodians

7. Agents, Proxies and Powers of Attorney

8. Indemnities

9. Supervision of Company

9.1 The Trustees are under no duty to enquire into or interfere with the management or conduct of the business or distribution policy of the Controlled Company unless they have actual knowledge of circumstances of a fraudulent nature which call for inquiry.

9.2 The Trustees are under no duty to enquire into or interfere with the management or conduct of the business or distribution policy of any company whose shares or securities form part of the Trust Fund unless the Trustees have actual notice of conduct of the company's directors that is contrary to the shareholders' interests.

10. Appropriation

11. Insurance

12. Guarantees

13. Power to Pay Taxes

14. Power to Compromise Claims

15. Instituting and Defending Legal Proceedings

16. Ancillary Powers

17. Records and Accounts

18. Change of Proper Law

Schedule 2

The Business Plan

The Business Plan of the Trust is:

1. To hold all the shares of the Controlled Company ('the **Shares**') to enable the Controlled Company to operate independently and administer an employee share scheme ('the **Plan**') for the benefit of the Employees of the Company. The Trustees' role in relation to the Plan is set out in this deed and in the Trustee Terms of Engagement dated [date].
2. To exercise the rights conferred upon the holder of the Shares, inter alia, to procure the following:
 - (a) that the Trustees, as holders of the Shares, appoint or join in appointing such director or directors of the Controlled Company as the Enforcer may direct the Trustees in writing;
 - (b) that the day-to-day management of the Controlled Company and the operation and administration of the employee share Plan be left to the board of directors (or other managing board or committee of the Controlled Company or persons to whom the appropriate powers are delegated by the board of directors) and the Trustees shall not be required to make any enquiry into, determination in relation, to or take any action in respect of, or be responsible for any transaction entered into by the board of directors or other managing board or committee of the Controlled Company.
3. To consult with the Enforcer and the board of the Controlled Company with respect to the addition of any Beneficiaries of the Trust in the event that assets are to be distributed from the Controlled Company to the Trustees to be dealt with in accordance with the dispositive and administrative powers conferred on the Trustees and the Enforcer of the Trust by this deed.
4. It is contemplated that the Controlled Company shall
 - 4.1 appoint [Name] as the administrator of the Plan (the 'Administrator') pursuant to the Administration Services Agreement to be entered between the Controlled Company and the Administrator; and
 - 4.2 appoint [Name] as the investment manager ('the Investment Manager') in relation to the investment activities of the Controlled Company pursuant to an Investment Management Agreement to be entered between the Controlled Company and the Investment Manager. The Investment Manager will perform its duties to the Controlled Company in accordance with the Investment Guidelines set out therein.
5. The Controlled Company will supervise the activities, and be responsible for oversight, of the Administrator and Investment Manager.
6. The Controlled Company will be responsible, with the assistance of the Administrator and the Investment Manager, for the administration of the Plan including decision-making on all benefits to be conferred on Employees and the terms on which the same are conferred.

7. The Trustees shall not (without first obtaining the written consent of the Enforcer) vote at a general meeting of the Controlled Company, transfer, redeem, repurchase or otherwise dispose of or deal with the Shares of the Controlled Company.
8. In the event that the Controlled Company is wound up in accordance with its constitution and applicable law, the Trustees may thereafter apply the Trust Fund in accordance with the Purposes and those contained in this Business Plan or, following consultation with the Enforcer, re-invest the Trust Fund.

Appendix 31:

Foundation Charter of the AB Foundation

Foundation No. 12345N

Article 1: Name

The undersigned [*name*] (the '**Founder**') in the capacity as founder, hereby registers and constitutes in accordance with the governing foundation legislation a private foundation by the name of the AB Foundation (hereinafter called 'the **Foundation**') as a legal entity in its own right.

Article 2: Object or purposes

The purposes of the Foundation is to protect, preserve, invest, manage and, where reasonable, enhance its assets to promote the long-term interests of the Founder's family, and to dispose of such assets to and for the benefit of the Beneficiaries in accordance with the dispositive provisions set out in the Regulations of the Foundation established pursuant to Article 7.

Article 3: Initial Endowment

- 3.1 The initial Endowment of the Foundation is US\$10,000 (Ten thousand United States dollars).
- 3.2 The initial Endowment may at any time be increased by additional endowments made by the Founder, or any other third party.

Article 4: the Foundation Council

- 4.1 The Foundation Council is responsible for the management and administration of the Foundation and is authorised to exercise all the powers of the Foundation.
- 4.2 The initial Foundation Council shall comprise of:
 - (i) Alpha Limited of PO Box 123, [*address*], and
 - (ii) Beta Limited of PO Box 1234, [*address*].
- 4.3 The Founder may for any cause whatsoever, during his lifetime, remove any one or more members of the Foundation Council and appoint a replacement. After the death of the Founder or, in the event of his incapacity, the Supervising Body shall have the power to remove and appoint new Foundation Council members.
- 4.4 The tenure of office of members of the Foundation Council is unlimited.

Article 5: Duration

- 5.1 The duration of the Foundation is unlimited.
- 5.2 The Foundation may however be dissolved voluntarily by the unanimous resolution of the Foundation Council subject to the further terms of the Regulations.

Article 6: Beneficiaries

The Founder at the time of creating the Foundation, or subsequently the Foundation Council, may create a private document known as the Regulations which may designate the Beneficiaries, set out the dispositive provisions and confer dispositive powers and/or impose dispositive duties upon the Foundation Council.

Article 7: Regulations

The Founder at the time of creating the Foundation, or subsequently the Foundation Council, is authorised to issue Regulations to establish, inter alia, administrative and/or dispositive provisions.

Article 8: Supervisory Body

- 8.1 The Regulations may appoint a Supervisory Body, which may be a natural individual or a corporate entity.
- 8.2 In addition to its powers and duties set out in the Regulations (and relevant foundation legislation enacted as part of the governing law of the state of registration of the Foundation), the Supervisory Body shall ensure the Foundation Council complies with the objects and performs the purposes of the Foundation and shall safeguard the rights and interests of the Foundation.

Article 9: Governing Law

- 9.1 The governing law the Foundation shall be that of *[identified jurisdiction]*.
- 9.2 The Foundation Council may at any time in its discretion transfer the domicile of the Foundation to the jurisdiction of another country.

DATED this ____ day of _____ 20__

SIGNED by the Founder: _____ (Founder)

WITNESS

In the presence of: _____ (Notary/Witness)

Regulations of the AB Foundation

Foundation No. 12345N

In accordance with the Charter of the AB Foundation, registered as Foundation Number 12345N the Registrar of Foundations of [*identified jurisdiction*], the Foundation Council hereby adopts the following Regulations for the Foundation.

REGULATION 1: The Council

- 1.1 The Foundation Council is authorised to exercise the powers of the Foundation, and in so doing shall act only within the authority of a valid resolution of the Foundation Council.
- 1.2 The Foundation Council shall have an unrestricted power to borrow on behalf of the Foundation and to charge the assets of the Foundation assets as collateral for such borrowing.
- 1.3 The Foundation may, by power of attorney or otherwise, appoint agents to act on behalf of the Foundation on such terms that the Council thinks fit.
- 1.4 If the Foundation Council comprises of more than one member it may appoint one of its members as an elected president, and another member as secretary and any other officer that the Foundations Council considers appropriate.
- 1.5 The Foundation Council shall meet upon the invitation of the President (but if no President is elected upon the invitation of any member of the Foundation Council) at such place and time as is reasonably stipulated in a notice of such meeting
- 1.6 Resolutions are valid when all members have been duly summoned and when the majority of them are present.
- 1.7 A resolution of the Foundation Council is passed by a simple majority of the members present. In the event of parity of votes, the President has a deciding vote. Should the Foundation Council comprise of two members, a resolution requires unanimity. Should the Foundation Council comprise only one member, such member may alone pass a written resolution to make decisions.
- 1.8 Resolutions of the Foundation Council shall be recorded in writing and minutes shall be signed by all members present.
- 1.9 Resolutions may also be passed by means of a circular written resolution signed by all members of the Foundation Council as, shall have the same legal effect of a resolution passed at a duly held meeting of the Foundation Council.
- 1.10 The Foundation Council is entitled by resolution to delegate its powers and its responsibility for the management and administration of the Foundation to one or more members of the Foundation Council or to a third party.
- 1.11 The signature of any one member of the Foundation Council, provided that such person or entity is properly authorised by resolution, is required in order for any contract or transaction to be binding upon the Foundation.

REGULATION 2: Financial affairs

- 2.1 The Foundation Council shall keep such books and records that accurately record all receipts and expenditure, revenues of, and distributions from, the assets of the Foundation.
- 2.2 The Foundation Council may prepare annual financial statements recording the assets and liabilities, profits and losses, of the Foundation in such form and according to which accounting standards they deem appropriate and shall render such accounts to the Founder and to, or at the direction of, the Supervisory Body.

REGULATION 3: Foundation Seal

- 3.1 If the Foundation Council considers it appropriate, the Council may adopt and have its own Foundation Seal.
- 3.2 The Foundation Seal shall be used as directed by resolution of the Foundation Council.

REGULATION 4: Investment

- 4.1 The Foundation may, by resolution of the Foundation Council, invest in any property whatsoever and in any currency in any part of the world, including real estate, personal moveable chattels, stocks, shares and other securities as they think fit.
- 4.2 The Foundation Council may by resolution engage the services of an investment adviser to advise upon the investment of the Foundation's assets. or an investment manager to manage the assets of the Foundation on a discretionary basis (the '**Investment Adviser**').
- 4.3 If the Foundation Council by unanimous resolution so decides, it may remove and replace the Investment Adviser with such other Investment Adviser as it considers appropriate in the circumstances.
- 4.4 The members of the Foundation Council shall not be liable for losses suffered by the Foundation arising from an investment made upon the advice or management of the Foundation's assets by an Investment Adviser who is competent and qualified to act as such and has been engaged in good faith PROVIDED that such losses are not caused by the fraud, dishonesty or wilful default of the members of the Foundation Council in the performance of their duties.

REGULATION 5: the Supervisory Body

- 5.1 The initial Supervisory Body shall be Delta (Nominees) Limited of PO Box 4321 [address].
- 5.2 The Founder may during his lifetime, remove and replace such Supervisory Body in his discretion. After the death of the Founder, the Foundation Council has power to remove and replace the Supervisory Body provided they shall obtain the prior approval of a majority of the Beneficiaries (as defined below) who are alive and *sui juris*.
- 5.3 The Supervisory Body may require the Foundation Council to account for their management of the assets and revenues of the Foundation and to produce such accounts, and supporting documents such as receipts, vouchers and other recorded data, that the Supervisory Body may specify and reasonably require in order to perform appropriate supervision and oversight.

- 5.4 The Supervisory Body may at any time appoint one or more persons as auditor(s) to audit the books and records of the Foundation upon such terms as it thinks fit in the circumstances.
- 5.5 The Supervising Body shall establish and periodically review the remuneration of the members of the Foundation Council.

REGULATION 6: Amendment of the Regulations

- 6.1 During the lifetime of the Founder, the Foundation Council may, with the approval of the Fonder, amend these Regulations.
- 6.1 After the death of the Founder, these Regulations shall be irrevocable and not capable of being amended save for any administrative provisions which may only be amended by the Foundation Council with the unanimous approval of all the Supervisory Body.

REGULATION 7: Dissolution

- 7.1 The Foundation has an unrestricted duration but may, however, be dissolved voluntarily by the Supervisory Body or by the unanimous resolution of the Foundation Council.
- 7.2 When resolving to liquidate the Foundation, the Supervisory Body or the Foundation Council, as the case may be, are authorised to appoint a liquidator when it is deemed necessary to do so.
- 7.3 In dissolving the Foundation, after the payment of any and all debts and obligations of the Foundation, the liquidator shall distribute the surplus assets to the Beneficiaries in accordance with the provisions of the Regulation 8.

REGULATION 8: the Dispositive Provisions

- 8.1 In this Regulation, the following terms are defined as follows:
 - (i) 'The Primary Beneficiary' is the Founder;
 - (ii) 'The Secondary Beneficiary' is the spouse of the Founder;
 - (iii) 'The Successive Beneficiaries' are the legitimate children and remoter issue of the Founder;
 - (iv) The 'Ultimate Beneficiary' means the Red Cross;
 - (v) The 'Beneficiaries' means those individual persons identified in sub-clause (i) through (iii) above.

Primary Beneficiary

- 8.2 During his lifetime, the Primary Beneficiary shall be solely entitled to the enjoyment of and distributions from the Foundation's assets and its income in such amount and at such time as the Foundation Council may from time to time by resolution consider appropriate.

Secondary Beneficiary

- 8.3 Upon the death of the Primary Beneficiary, the Secondary Beneficiary, if any, shall during her lifetime be entitled to the enjoyment of and distributions from the Foundation's assets and its income in such amount and at such time as the Foundation Council may from time to time by resolution consider appropriate.

Successive Beneficiaries

- 8.4 Upon the death of the Secondary Beneficiary (or if such Secondary Beneficiary pre-deceases or fails to survive the Primary Beneficiary for more than 30 days, then upon the death of the Primary Beneficiary) the Foundation Council may distribute all or any such part of the Foundation's assets and its income to or for the benefit of such one or more of the Successive Beneficiaries at such time and in such shares as the Foundation Council think fit.

Power to add to, or exclude from, the class of Successive Beneficiaries

- 8.5 The Foundation Council may, with the consent of the Founder during his lifetime, or with the consent of the Supervisory Body after his death, in their discretion by written declaration add persons or other entities to the class of Successive Beneficiaries.
- 8.6 The Foundation Council may, with the consent of the Founder during his lifetime, or with the consent of the Supervisory Body after his death, in their discretion by declaration exclude persons or other entities to the class of Successive Beneficiaries.

Default Beneficiary

- 8.7 Should there be no Beneficiaries in existence, or should it not be possible to ascertain any such Beneficiaries, the remaining net assets of the Foundation are to be endowed to the Ultimate Beneficiary.

DATED

SIGNED

For and on behalf of Alpha Limited by its authorised representative:

For and on behalf of Beta Limited by its authorised representative:

Appendix 32:

Appendix 32: AB Foundation (Number 12345N) (The 'Foundation')

MINUTES OF A MEETING OF THE COUNCIL OF THE FOUNDATION

DATE: [date]

HELD AT: [venue]

PRESENT: Alpha Limited, by its authorised representative, Mrs Catalina Green

Beta Limited, by its authorised representative, Mr Diego White

IT WAS NOTED THAT:

- (A) UPON an analysis of the financial statements of the Foundation for the year to [date] it was established net income earned in the last fiscal period to the year-end amounts to [USD amount] and net assets at year-end amounts [USD amount]
- (B) ACCORDING to Regulation 8.2 of the Foundation's Regulations [name] as the 'Primary Beneficiary' is 'solely entitled to...distributions from the assets of the Foundation and its income in such amount and at such time as the Council may from time to time consider appropriate'
- (C) A PROPOSAL to distribute the net income earned during the 12 months ending [date] to the Primary Beneficiary was debated.

IT IS HEREBY RESOLVED:

THAT the net income generated by the assets of the Foundation during the year ending [date] in the sum of [USD amount] be distributed to the Primary Beneficiary and THAT [the administrator] be and is hereby authorised to arrange a bank transfer of the said sum from the Foundation's account with [bank] to the account of the Primary Beneficiary at [bank].

TERMINATION

THERE being no further business, the meeting ended at [time]

SIGNED _____

AB FOUNDATION (Number 12345N)

(The 'Foundation')

WRITTEN RESOLUTIONS OF THE COUNCIL OF THE FOUNDATION

PURSUANT to Regulation 1.9 of the Regulations of the Foundation permitting resolutions of the Council to be passed by written resolution, we the present members of the Council do hereby:

RESOLVE:

1. THAT the Foundation do purchase that property known as Blackacre located at [address] (the '**Property**') for a consideration of [USD amount].
2. THAT the contract attached hereto (the '**Contract**') whereby the Foundation shall agree to acquire the Property be and is hereby approved.
3. THAT the deed of conveyance attached hereto (the '**Conveyance**') whereby the Foundation shall acquire legal ownership of the Property be and is hereby approved.
4. THAT [name] and [name] be and are hereby authorised to sign the Contract and execute the Conveyance as a deed on behalf of the Foundation.
5. THAT [administrator] is hereby authorised to arrange for the Foundation to transfer the said consideration of [USD amount] from the account of the Foundation at [bank] to the lawyers acting for the vendor of the Property when instructed to do so.

DATE:

SIGNED _____ Mrs Catelina Green, for and on behalf of Alpha Limited,
its authorised representative

_____ Mr John White, for and on behalf of Beta Limited, its
authorised representative